M&A MASTERMINDS 2026 | RESEARCH DELIVERABLE

Project Satoshi Gate

Board recommendation on Paytm's proposed acquisition of Liminal Custody Solutions

Team IdeaForge
Harsh Kawatra, Delhi Technological University
Gursimran Kaur, GGSIPU
Dayita Arora, Ramjas College, University of Delhi

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0. Document control

Purpose. This document answers every question in the Project Satoshi Gate case, the organisers' brief and the Modeling Clarification. It is the evidence base for a 15-slide board deck (cover, 12 core slides, appendix, thank you) and for the Excel model `Satoshi_Gate_Model.xlsx`.

Source hierarchy. The case document governs every case fact. External research is used only as context, to test the logic of our assumptions and to inform regulatory design. It never replaces a case input. Where the real world differs from the case (Paytm's actual cash balance or P/E, for instance), we say so and keep the case figure.

Tags used on every number

Tag	Meaning
`[C §x]`	Case fact, with section reference
`[CL]`	Modeling Clarification
`[A##]`	Team assumption, listed in §16
`[M]`	Output of the deal model (`model/satoshi_gate_model.py`, mirrored in the Excel file)
`[S##]`	External source, listed in Appendix A

Model version. The model was run on 24 Sep 2026 after two research-driven updates, both made under pre-set rules rather than by judgment after seeing results:

1. The discount rates moved from 15.0% to 15.5% (Paytm) and from 16.5% to 17.0% (Liminal), because the 10-year G-sec (7.04%) and Damodaran's India ERP (7.08%) shifted the cost of equity by more than 50 bps.
2. The stake price moved from ₹600 Cr to ₹400 Cr, because the researched valuation comparables put Liminal's weighted fair value at ₹1,656 Cr, and the pricing rule is 24.9% of fair value rounded down to ₹50 Cr.

All figures are ₹ Cr unless stated. FY27 means April 2026 to March 2027, and FY27 is model Year 1.

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1. Question coverage matrix

Every case question, mission item, expected output, organiser brief item and modeling requirement, with where it is answered.

ID	Question (short)	One-line answer	Section	Slide
M1	Recommend one of four paths	24.9% minority stake with ROFR and a gated call option to control	2, 8	2, 6

ID	Question (short)	One-line answer	Section	Slide
M2	Governance to protect client relationships	Independent-majority board, info barrier, standalone brand, client charter, key-shard escrow	11	9
M3	Structure the payout to limit balance-sheet and rating pressure	₹400 Cr cash upfront, up to ₹600 Cr only against delivered ARR, zero new debt or shares	10	8
M4	Factor in the UPI MDR	Included in every path (+₹1.35 EPS), shown as deal-independent	3, 9	3, 7
M5	Downside scenarios (churn, capital)	Full NPV grid across churn and drag; minority stress tests	9, 11	7, 9
Q5.1.1	Which structure	Minority stake, 24.9%	8	6
Q5.1.2	Strategic value of custody/MPC	Real, but regulator-gated and 3 to 7 years out in all four arenas	4	4
Q5.1.3	Big enough to justify moving beyond payments	Justifies a bounded ₹400 Cr step, not an unbounded ₹4,000 Cr + ₹750 Cr/yr one	4	4
Q5.1.4	Licence instead of ownership	A licence captures ~70% of operating value but fails on change of control; licence + equity + ROFR is durable	8	6
Q5.1.5	Reasons to accept or reject	Reject as proposed; approve the restructured minority	8	2, 6
Q5.2.1	Significance of losing top clients	High under control: 60% of ARR sits with four clients who have precedent reasons to leave	11	9
Q5.2.2	Governance safeguards	Nine-part safeguard set, mapped to each client concern	11	9
Q5.2.3	Return profile at 30 to 45% churn	NPV −₹7,518 to −₹7,760 Cr; FY27 EPS ₹4.92 to ₹4.48	9	7
Q5.2.4	Churn that makes it unattractive	None: the deal is already negative at 0% churn (−₹7,042 Cr); minority tolerates up to 57.6%	9, 11	7, 9
Q5.3.1	Financing mix to protect AA-	Cash only for the minority; for a full deal, never debt (3.83x gross debt/EBITDA)	10	8
Q5.3.2	Cash/equity mix and EPS dilution	FY27 EPS ₹3.44 (all cash) to ₹6.05 (all equity) against ₹7.50; minority ₹8.79	10	8
Q5.3.3	Implied multiple and supportability	18.2x ARR today, 29.1x post-churn, 2.4x the weighted fair value	7	5
Q5.3.4	Breakeven after ₹750 Cr drag	Full: PAT FY2033, FCF never within 10 years. Minority: PAT FY2028, FCF FY2034	9, 16	7, 13
Q5.3.5	MDR offset of drag	15.3% pre-tax, 11.5% post-tax, and not attributable to the deal	3, 9	3, 7
Q5.3.6	Deferred, earn-out or CVR structures	They fix price risk, not the drag; only non-control removes the drag	10	8
Q5.4.1	Regulatory sequence	Three-phase sequence; no mandatory CCI filing or RBI approval expected for the minority	12	10
Q5.4.2	Extra capital requirements from owning custody	Yes under ownership (₹750 Cr/yr [C]); the minority avoids it, secured by an RBI comfort CP	12	10

ID	Question (short)	One-line answer	Section	Slide
Q5.4.3	Risks pre-signing, signing to close, post-close	Phase-by-phase table	12	10
Q5.4.4	Data, compliance, AML, infosec structure	Liminal stays a separate FIU-IND reporting entity with its own controls	12	10
Q5.5.1	If the consortium outbids	Let it win control; it inherits the same revolt and a comparable capital problem	6	11
Q5.5.2	Response to a higher bid	Compete on structure, never on control price above ₹1,797 Cr	6	11
Q5.5.3	Justification under multiple compression	Minority is cash-funded and immune; full-deal loss rises to 10.7% of market cap	6	11
Q5.5.4	Implications of consortium ownership	PhonePe extends into institutional rails; ROFR and Plan B contain it	6	11
Q5.6.1	Churn above 45%: remediation or unwind	Four-step ladder for a full deal; for the minority, simply do not exercise	13	11
Q5.6.2	Minority now, option later	Yes, that is the recommendation	13	12
Q5.6.3	Milestones before exercise	Five gates G1 to G5	13	12
Q5.6.4	Standalone subsidiary indefinitely	Yes as an associate; under full ownership the drag persists	13	12
Q5.6.5	Walk-away conditions after signing	Seven conditions precedent and triggers	13	11
E1	Recommended structure	§2, §10	2, 10	2, 8
E2	Strategic rationale	§4, §5	4, 5	4
E3	Financial implications	§9, §10	9, 10	7, 8
E4	Churn and downside	§9, §11	9, 11	7, 9
E5	Financing structure	§10	10	8
E6	Regulatory and governance approach	§11, §12	11, 12	9, 10
E7	Risks and mitigants	§14	14	12
E8	Roadmap and decision triggers	§15	15	12
B1	Situation, performance, competition and positioning	§3, §5, §6	3, 5, 6	3, 4
B2	Do not overestimate; logic-backed assumptions	Conservative DCF, scenario weights, 29 disclosed assumptions	7, 16	5, 13
B3	Acquisition opportunities, risk-benefit, fixes	Four paths plus alternative targets, risk register	5, 8, 14	4, 6, 12
B4	Valuation, financing, growth	Football field, funding table, strategic arenas	4, 7, 10	4, 5, 8
B5	Targets mapped against alternatives	MECE filter over eight alternatives: Liminal is the only pass	5	4

ID	Question (short)	One-line answer	Section	Slide
B6	15-slide format	Cover + 12 core + appendix + thank you	17	all
K1	Assumptions disclosed	§16 register, 29 items	16	13
K2	No external substitution of case inputs	Case facts locked in `Case_Inputs` sheet	0, 16	13
K3	Unstated parameters are assumptions	Every financing, WACC, minority, JV, earn-out item tagged `[A]`	16	13
K4	Dedicated assumptions slide	Slide 13	17	13
K5	PAT and FCF breakeven	Breakeven table, both bases, all paths	9, 16	7, 13

2. Board answer (executive summary)

Recommendation. Do not buy Liminal outright. Take a 24.9% stake for ₹400 Cr of balance-sheet cash, with a milestone second tranche of up to ₹600 Cr paid only if Liminal's FY29 ARR reaches ₹500 to ₹650 Cr. Add an MPC technology licence, a right of first refusal with a 30-day matching right against the PhonePe-Mastercard consortium, and an option to take control in months 30 to 42 at fair value, exercisable only if five gates are met.

The proposed ₹4,000 Cr acquisition destroys ₹7,638 Cr of shareholder value in our base case (₹117.5 per share, 6.4% of market cap) M. It stays negative even if every constraint in the case disappears: with zero churn and zero capital drag it still loses ₹2,203 Cr in the base case and ₹1,073 Cr in the bull case M. The price pays for the bull case twice, and the ₹750 Cr annual capital drag C §3.2 is larger than Liminal's entire ARR (3.4x) and larger than Paytm's entire PAT (156%) M.

The minority structure pays fair value for 24.9% of Liminal's economics (base NPV +₹211 Cr, probability-weighted +₹128 Cr) M. It keeps Liminal neutral, which is the thing its bank and exchange clients are paying for. It blocks the consortium from walking away with Liminal unopposed. And it lets Paytm decide on control only after the two unknowns that sink the full deal (client churn and the RBI capital regime) have resolved.

The eight expected outputs, answered

#	Output	Answer
E1	Structure	24.9% CCPS stake in First Answer India Technologies (Liminal's Indian entity): ₹400 Cr upfront (₹250 Cr primary, ₹150 Cr secondary), Tranche 2 up to ₹600 Cr, ₹25 Cr/yr MPC licence, ROFR + matching right, FMV call option on control (months 30 to 42)
E2	Rationale	Custody is a real option on India's tokenization, e₹ and cross-border rails, but every arena is regulator-gated and 3 to 7 years out. Liminal's moat is neutrality, which a consumer-wallet owner destroys by taking control
E3	Financials	Full deal: NPV −₹7,638 Cr, FY27 EPS ₹4.70 (−37.3% vs ₹7.50). Minority: NPV +₹211 Cr, FY27 EPS ₹8.79 (+17.2% vs ₹7.50, including the MDR)
E4	Churn and downside	Full deal is negative at every churn level from 0% to 60%. Minority breaks even only at 57.6% churn, against an expected 5%

#	Output	Answer
E5	Financing	100% balance-sheet cash: ₹400 Cr is 4.5% of Paytm's ₹8,900 Cr cash. Gross debt stays ₹350 Cr; no new shares
E6	Regulatory and governance	Invest through One97 into Liminal's Indian entity (avoids the ODI profit test and keeps PPSL ring-fenced). Independent-majority Liminal board, information barrier, standalone brand. RBI comfort letter as a condition precedent
E7	Risks	Twelve-item register; the top three are RBI treating the minority as ownership, a Liminal security incident, and the consortium bidding for control. Each has a contractual or structural mitigant
E8	Roadmap	100-day plan, gate reviews at months 12, 24 and 30, option window at months 30 to 42, and seven kill switches

Draft executive-summary slide text (≤110 words)

- *What we recommend.* Take 24.9% of Liminal for ₹400 Cr in cash, plus up to ₹600 Cr only if ARR reaches ₹650 Cr by FY29. Pair it with an MPC licence, a ROFR against the consortium, and an option on control in 2029.
- *Why not buy it.* At ₹4,000 Cr, control destroys ₹7,638 Cr: a 37.5% client revolt plus a ₹750 Cr yearly capital drag that the ₹115 Cr MDR covers only 15%.
- *What the Board approves today.* ₹400 Cr from cash, no new debt, no new shares, FY27 EPS ₹8.79. The deal lapses if RBI will not confirm that a 24.9% stake is not ownership.

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3. Situation overview: Paytm needs growth outside payments, and cannot afford an EPS hit to get it

Answer. On case figures, Paytm trades at 247x earnings and 172x EBITDA M. The market has priced in a turnaround that has barely started showing in earnings. Core UPI growth is capped by a two-player duopoly, and Paytm's regulatory record makes RBI trust its scarcest asset. Any acquisition that dilutes EPS or invites fresh RBI scrutiny attacks both of Paytm's valuation supports at once.

3.1 Paytm on case figures

Metric	Value	Basis
Market cap	₹1,18,750 Cr	C §1
Share price	₹1,855.47	₹1,18,750 Cr ÷ 64 Cr shares M
Enterprise value	₹1,10,200 Cr	market cap − ₹8,900 Cr cash + ₹350 Cr debt M
P/E	247.4x	₹1,855.47 ÷ ₹7.50 M
EV/Revenue	13.04x	₹1,10,200 ÷ ₹8,450 Cr M
EV/EBITDA	172.2x	₹1,10,200 ÷ ₹640 Cr M
EBITDA margin	7.6%	₹640 ÷ ₹8,450 Cr M

Metric	Value	Basis
Earnings yield	0.40%	the inverse of P/E M
Post-tax yield on cash	4.49%	6.0% A03 × (1 − 25.17% A02) M
Deal value as % of market cap	3.37%	M

The last two lines matter for financing. Paytm's stock earns 0.40% for every rupee of market value, while its cash earns 4.49% after tax. Every rupee of cash that leaves the balance sheet costs more EPS than a rupee of stock issued. This is why the all-equity version of the full deal is the least dilutive, and why a buyback (which the case says shareholders may demand C §3.3) actually *reduces* EPS: retiring ₹2,100 Cr of shares at ₹1,855 buys back 1.13 Cr shares but gives up ₹94 Cr of post-tax interest, and EPS falls to ₹6.14 (−18.2%) M. Shareholder pressure for buybacks is a valuation-signalling argument, not an EPS argument.

Context (does not replace case figures). Aggregators put Paytm's market cap at ₹1.14 to 1.16 lakh Cr in mid-September 2026, within 2 to 4% of the case figure, with a trailing P/E near 141 on reported earnings S15. Paytm's FY26 PAT was ₹552 Cr on revenue of ₹8,437 Cr S06, and Q1 FY27 PAT was ₹220 Cr on revenue of ₹2,448 Cr (+28% YoY) S05. Reported cash was ₹13,529 Cr in June 2026 S128 against the case's ₹8,900 Cr. The stock is up 44% over the past year S15. The case's "turnaround narrative" is visible in the real data; the case figures govern the model.

3.2 Industry position: third in a two-player market

UPI app, Aug 2026	Volume share	Source
PhonePe	45.9% (~11.25 bn transactions)	S03
Google Pay	32.4% (~7.9 bn)	S03
Paytm	**8.1%**	S03
Navi	4.4%	S03
PhonePe + Google Pay	78.3%	S03, S04

Paytm is a distant third with 8.1%, behind a duopoly holding 78.3%. The case says pure-play UPI and checkout growth has slowed C §1. Growth has to come from adjacent revenue pools, which is the strategic logic behind looking at Liminal. That logic is sound. The question for the Board is whether ownership is the right instrument for it.

3.3 Regulatory history: RBI trust is Paytm's scarcest asset

- RBI stopped Paytm Payments Bank (PPBL) from onboarding new customers in March 2022 S08.
- On 31 January 2024, citing "persistent non-compliances and continued material supervisory concerns", RBI barred deposits and top-ups after 29 February 2024 S08. On 16 February it extended the cut-off to 15 March 2024 S09. The case references these 2024 restrictions C §1.
- In April 2026 RBI cancelled PPBL's banking licence outright S10, and the Delhi High Court ordered winding up in July 2026 S112. Paytm said the financial impact was nearly nil because the investment was already impaired S07.
- Paytm's payment aggregator arm, PPSL, received final online PA authorisation on 26 November 2025 S12 and authorisation for offline and cross-border (inward and outward) PA on 17 December 2025 S11.

The PA licence is recent and hard-won.

- The Enforcement Directorate issued a ₹611 Cr FEMA show-cause notice in March 2025 S100; RBI compounded part of it in February 2026 for ₹18.76 lakh S101.

The implication is simple. Paytm has just rebuilt its standing with RBI. The case's capital trap C §3.2 is RBI applying bank-like capital to a PA group that owns crypto custody, at a time when RBI has told Parliament it favours containing crypto, "leaning towards prohibition" S57. A deal that puts custodied digital assets inside the Paytm group spends regulatory capital Paytm does not have to spare.

3.4 The UPI MDR: real money, but not a reason to do this deal

The MDR mechanics C §3.4, S01, S02:

- 0.4% on person-to-merchant UPI payments above ₹2,000, capped at ₹300 per transaction, from 15 October 2026. Payments up to ₹2,000 and all P2P transfers stay free.
- Merchants pay, not consumers.
- Research adds that essential sectors (railways, telecom, agri inputs) pay a flat ₹5, that merchants with monthly UPI QR receipts under ₹1 lakh are exempt, and that about 96% of P2M transactions are unaffected S01.

For Paytm, the case sets incremental net revenue at ₹115 Cr/yr C §3.4. After tax that is ₹86.05 Cr, or +₹1.345 of EPS, lifting standalone EPS from ₹7.50 to ₹8.845 (+17.9%) M.

Three analytical points follow:

1. **The MDR is deal-independent.** Paytm earns it whether it buys Liminal, takes a minority, forms a JV or walks away. It belongs in every path's baseline, and we show EPS against both ₹7.50 (the case baseline) and ₹8.845 (the MDR-adjusted baseline), so no path gets credit for revenue it did not create.
2. **It barely dents the drag.** ₹115 Cr covers 15.3% of the ₹750 Cr drag pre-tax, and 11.5% on a like-for-like cash basis, because the drag is a cash outflow and the MDR is taxable income M.
3. **It carries political risk.** A zero-MDR regime existed until October 2026 for policy reasons. If half the MDR were rolled back, standalone EPS would be ₹8.17 rather than ₹8.85 M. Our recommendation does not depend on the MDR in any way.

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4. Strategic value of custody and MPC: real, gated and years away, so buy an option

Answer to Q5.1.2 and Q5.1.3. Custody and MPC infrastructure could matter to Paytm in all four arenas the case names. In every one of them the opening is controlled by a regulator and is 2 to 7 years away. Uncertain, gated, long-dated value is the textbook case for a real option: a small irreversible commitment now, with the right (not the obligation) to scale once the uncertainty resolves. The opportunity justifies a bounded ₹400 Cr step (0.34% of market cap). It does not justify an unbounded commitment of ₹4,000 Cr plus ₹750 Cr every year.

Arena	Size signal	Regulatory gate	Timing	Paytm's right to win	Own or licence?
Digital assets (VDA custody)	India ranked #1 in Chainalysis's 2025 adoption index S55 ; ₹51,180 Cr of declared VDA transactions and ₹511.83 Cr of 1% TDS in FY25 S56 ; 54 VDA providers registered with FIU-IND S57	RBI told Parliament on 2 Jul 2026 that VDAs "should not be legalised" and that it leans towards prohibition S57, S58 ; 30% tax plus 1% TDS	Closed for a regulated payments group	Weak: an RBI-regulated PA group is the wrong owner	Neither; stay out of VDA exposure directly
Tokenized assets	2030 forecasts range from ~$2T (McKinsey base) S69 to $5.5T (Citi base; $2.7T to $8.2T) S68 and ~$9.4T (BCG/Ripple) S70 ; ~$38.6B on-chain today S71 . In India, RBI's Unified Markets Interface has settled ~248 tokenized CD trades worth ₹17,000 Cr in wholesale e₹ S63, S64 , and SEBI's Demat 2.0 pilot issued ~₹1,025 Cr of tokenized bonds S65	SEBI's pilot has depositories holding the private keys S65 ; IFSCA is still at consultation stage S77	3 to 5 years before third-party custodians get a role	Medium: Paytm's merchant and treasury base, if custody opens to third parties	Licence now, own later if the gate opens
CBDC (e₹)	Retail e₹ in circulation fell 24% to ₹771.7 Cr in FY26 S59 ; wholesale balances are nil at day end S59 ; ~120 mn cumulative retail transactions worth ₹28,000 Cr, 7 to 8 mn users S60 ; programmable PDS pilots from Feb 2026 S63	RBI owns the ledger; non-bank wallets allowed since 2024, with MobiKwik and CRED live S61 ; Paytm was not among the 2024 applicants S62	2 to 4 years	Medium: wallet distribution, not custody	Licence
Cross-border settlement	Remittances to India $135.46B gross in FY25 S72 and $144.8B net in FY26 S73 ; $150.7B in calendar 2025, about 16 to 19% of the world total S74 ; UPI live in 8+ countries S67 ; BIS Project Nexus go-live targeted for 2027 S66	Fiat rails open (PPSL holds PA-CB authorisation since Dec 2025 S11); crypto rails closed	2 to 4 years	Strong on fiat rails	Licence is enough; cost advantage of crypto rails is small

Two findings from the research cut against the bullish reading of the case, and a board should hear them:

- **India's tokenization stack is being built around incumbents.** SEBI's pilot keeps private keys with the depositories S65 . RBI's pilot settles in wholesale e₹ on RBI's own platform S63 . A third-party custodian such as Liminal is outside the regulated pipeline today.
- **The cross-border cost gap is already small.** Sending money to India costs 1.76% on average S75 , against a 5.04% global weighted average S76 . Blockchain settlement competes against one of the cheapest corridors in the world.

Conclusion. The strategic value is real, but it is an option on regulatory change. Buying an option requires a small premium and a clear exercise decision later. Buying the company now pays the full price of an asset whose value depends on events Paytm cannot control. This is the foreshadowing for the recommendation: the structure must be sized for uncertainty.

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5. Target assessment: Liminal is the right target, so the real question is the structure

Answer. Of eight alternatives screened, Liminal is the only one with an Indian regulatory footprint, Indian bank and exchange clients, an institutional MPC stack, a reachable price and a realistic path to a stake. What the research also shows is that Liminal's durable advantage is trust and neutrality. That is exactly what changes hands if a consumer-payments company buys control.

5.1 Profile

Item	Case fact	External context (not a case input)
Business	Institutional digital-asset custody and MPC infrastructure C §2	Singapore-headquartered group; Indian entity First Answer India Technologies Pvt Ltd S38
Founder	Mahin Gupta, co-founder of ZebPay, founded 2021 C §2	$4.7M seed led by Elevation Capital (May 2022); investors included CoinDCX S42
Clients	Exchanges, hedge funds, OTC desks; HDFC Bank, Axis Bank, CoinDCX and ZebPay are 60% of ARR C §2	80+ business clients in 12 countries, 130+ staff; $72B of transaction volume in 2025 and over $100B cumulative S41
Certifications	ISO 27001, SOC 2 Type II C §2	EY Advisory appointed for a 3-year internal audit (Jan 2026) S134
ARR	₹220 Cr (~$26M) C §2 table	Tracxn reported revenue under $1M as of Sep 2022 S43 ; no later revenue disclosure found
Profitability	Approximately breakeven at net income C §2	Not disclosed
Licences	Not specified	First custodian registered with FIU-IND (May 2024) S38 ; VARA (Dubai) initial approval only (Apr 2024) S40 ; ADGM licence granted May 2024 and withdrawn 20 Mar 2025, reason not disclosed S39 ; CBI appointed Liminal to manage seized digital assets (Nov 2023) S38

5.2 Client concentration

Top-4 clients hold ₹132 Cr of ARR (60%), an average of ₹33 Cr each M . The remaining ₹88 Cr is spread over the rest of the book. Losing even one top client removes about 15% of ARR.

5.3 VRIO: the moat is neutrality

Resource	Valuable	Rare	Hard to imitate	Organised to exploit	Verdict
MPC wallet technology	Yes	Somewhat (Fireblocks, BitGo and others offer MPC)	No: 2 to 3 years to build	Yes	Temporary advantage
First FIU-IND registration, ISO 27001, SOC 2 Type II	Yes	Yes in India	Partly (time and audit history)	Yes	Temporary to sustained

Resource	Valuable	Rare	Hard to imitate	Organised to exploit	Verdict
Trust of banks and exchanges as a neutral custodian	Yes	Yes	Yes	Yes (founder pedigree, ZebPay link)	**Sustained advantage**

The one sustained advantage is neutrality. A bank or exchange hands its keys to a custodian it believes has no competing interest in its customers or flows. The case's bank-partner revolt C §3.1 is this advantage failing under a new owner. Any structure that keeps Liminal neutral keeps its moat.

5.4 Alternative targets: the MECE filter

Screening criteria: (1) Indian regulatory presence; (2) Indian bank or exchange clients; (3) institutional MPC or custody stack; (4) price within reach for a stake or acquisition; (5) realistically available.

Candidate	India presence	Indian clients	MPC/custody stack	Price reachable	Available	Result
Liminal	FIU-IND registered S38	Yes C §2	Yes	Yes	Yes (in talks C §2)	**Pass**
Fireblocks	Not found	Not found	Yes	No: last valued at $8B S48	No evidence	Fail
BitGo	Not found	Not found	Yes	Listed, ~$0.94B market cap S46; control premium out of reach for a strategic minority	Listed, not for sale	Fail
Copper	Not found	Not found	Yes	Offers ~$200M vs $500M ask S47	For sale	Fail (no India footprint)
Taurus	Not found	Not found	Yes	Unknown	Deutsche Bank-aligned S130	Fail
Hex Trust	Not found	Not found	Yes	Last valued $300M (2022)	No evidence	Fail
Komainu / Zodia	Not found	Not found	Yes	n/a	Bank-owned; Zodia being folded into Standard Chartered S50	Fail
Build in-house	n/a	None	2 to 3 years	₹40 Cr/yr A20	Yes	Fail on time and trust

"Not found" means our research found no evidence, not proof of absence. Liminal passes all five screens. It is the right target. The analysis that follows is about how to hold it.

5.5 Due-diligence flags a board must hear

1. **The WazirX incident.** About $234.9M was drained from a WazirX multisig wallet run under a custody arrangement with Liminal on 18 July 2024, in an attack attributed to North Korea's Lazarus Group S33. WazirX blamed Liminal, and Liminal denied a breach S33. A Grant Thornton audit in September 2024

found the breach originated outside Liminal's systems S34. WazirX ended the custody relationship S35. Delhi Police's chargesheet alleged Liminal had not provided logs for the hack date S36. WazirX's restructuring was sanctioned by the Singapore High Court in October 2025 S37. No direct suit against Liminal was found. Diligence must include an independent forensic review and a litigation search.

2. **The ADGM withdrawal.** The reason Liminal's Abu Dhabi licence was withdrawn within a year is not public S39. Diligence must obtain it.
3. **Revenue verification.** The case's ₹220 Cr ARR C §2 governs the model, but no public source confirms Liminal's current revenue S43. A quality-of-earnings review is a condition precedent.

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6. Competition and the consortium: the rival bidder inherits the same revolt

Answer. If Paytm steps back from control, the PhonePe-Mastercard consortium may bid C §2. But PhonePe is also a payments company running a consumer wallet, so the bank-partner revolt C §3.1 applies to it just as much. Paytm should compete on structure, never on control price. If the consortium wins control, it inherits the churn and faces a comparable RBI problem, and Paytm keeps its options through a ROFR and a Plan B.

6.1 The peer set is repricing downwards

Custodian	Owner type	Latest valuation signal	Source
BitGo	Listed (NYSE, Jan 2026 IPO at $18)	Market cap ~$0.94B at $8.07/share; FY25 fee revenue ~$188M; $81.6B assets on platform	S44, S45, S46
Copper	VC-backed, for sale	Offers ~$200M against a $500M ask; $2.5B peak in 2021	S47
Fireblocks	VC-backed	$8B in Jan 2022; ARR over $100M in 2022	S48
Anchorage Digital	OCC-chartered trust bank	First federally chartered crypto bank (2021)	S49
Zodia Custody	Standard Chartered subsidiary	Minorities bought out May 2026; custody folded into the bank	S50
Hex Trust	VC-backed	$300M (2022)	S132

Two lessons: private crypto-infrastructure valuations have fallen sharply from their 2021 to 2022 peaks, and bank-owned custody is being reorganised, not expanded.

6.2 What the consortium wants, and what it faces

- **PhonePe** is 71.77% owned by Walmart S17. It holds RBI authorisation for prepaid payment instruments and runs PhonePe Wallet S20, and it received final online PA authorisation on 19 September 2025 S19. It paused its IPO on 16 March 2026 S18. It is exactly the kind of owner the case says Liminal's clients will reject: "a competing payments company that also runs a consumer wallet" C §3.1.
- **Mastercard** closed its acquisition of BVNK (up to $1.8B, including $300M contingent) on 3 August 2026 S23, S24, and obtained a New York BitLicense in May 2026 S22. It held talks to buy Zerohash for up to ~$2B, then considered a minority stake, then dropped both S25, S26. RBI barred Mastercard from

onboarding new Indian customers from July 2021 to June 2022 over data localisation S21. Mastercard is a buyer of on-chain rails, but its integration bandwidth is on BVNK, and its India regulatory history is not clean.

6.3 The game tree

1. Paytm offers the minority structure (24.9%, ROFR, matching right, Tranche 2 to a ₹4,016 Cr headline). Liminal's founders get independence (which protects their ARR), ₹150 Cr of secondary liquidity for early holders, ₹250 Cr of growth capital, and a fair-value exit via the option.
2. If Liminal accepts, which is our base case, the consortium is blocked by the ROFR on any future sale.
3. If Liminal shops the deal and the consortium bids for control, Paytm uses its matching right only at or below the maximum justified control price. That is ₹1,797 Cr in the base case with zero churn and zero drag, and ₹1,201 Cr at case churn M. A consortium bid for control will exceed that, so Paytm lets it win.
4. The consortium then inherits a 30 to 45% revolt risk C §3.1 (PhonePe is a consumer-wallet payments rival to HDFC and Axis too), and PhonePe, as an RBI-regulated PA and PPI issuer, faces the same kind of RBI capital scrutiny the case describes for Paytm (our inference from the case logic, not a case fact).
5. Paytm's Plan B: license an alternative MPC stack (Fireblocks-class providers), and position a Paytm-aligned neutral offering to capture defecting Liminal clients.

6.4 Answers to the competitive questions

- **Q5.5.1, consortium outbids.** Paytm loses a right, not value. On our numbers, every rupee of control price above ₹1,797 Cr is value destruction for any buyer facing the case's churn and drag M. The consortium would be buying the problem.
- **Q5.5.2, higher valuation or better terms.** Do not enter a bidding war for control. Compete on structure: independence for clients, liquidity for early holders, the ₹4,016 Cr headline via Tranche 2 for delivered ARR, and a fair-value exit via the option. Mastercard's own record (BVNK's $300M contingent tranche S23, and its minority-stake talks with Zerohash S26) shows that contingent and minority structures are normal in this sector. Indian precedents point the same way: Coinbase holds a non-controlling minority in CoinDCX, cleared by CCI S125, and PayU took 43.5% of UPI-switch provider Mindgate while the founders kept majority control S126.
- **Q5.5.3, multiple compression.** The minority is paid in cash, so Paytm's share price does not affect it. The full deal gets worse as the price falls:

Paytm share price move	0%	-20%	-30%	-40%
Share price (₹)	1,855	1,484	1,299	1,113
Shares issued for ₹1,900 Cr (Cr)	1.024	1.280	1.463	1.707
Dilution	1.60%	2.00%	2.29%	2.67%
Full-deal NPV loss as % of market cap	6.4%	8.0%	9.2%	10.7%

Source: M.

- **Q5.5.4, consortium ownership.** PhonePe would add institutional digital-asset rails to 45.9% of UPI volume S03, and Mastercard would pair Indian custody with BVNK. Paytm would depend on third parties for tokenization. That is a real strategic cost, estimated at ₹406 Cr of forgone synergy and build-avoidance value in the base case M. It is contained by the ROFR, the licence (which survives as long as Liminal is independent) and Plan B vendors.

7. Valuation: ₹4,000 Cr is 2.4 times what Liminal is worth on a weighted basis

Answer to Q5.3.3. The deal is priced at 18.2x today's ARR, 29.1x the ARR that survives a base-case revolt, and 2.4x Liminal's weighted fair value of ₹1,656 Cr M. It is not supportable on intrinsic value at any churn level, and it is above every listed peer multiple.

7.1 Discount rates

Input	Paytm	Liminal	Source
Risk-free rate	7.04%	7.04%	10-year G-sec, 23 Sep 2026 S30
Equity risk premium	7.08%	7.08%	Damodaran India total ERP, Jan 2026 (country risk premium 2.85%) S31
Beta	1.20	1.40	Team assumption A07, A08; see note
Cost of equity	15.54%, rounded to 15.5%	16.95%, rounded to 17.0%	
Capital structure	Net cash, so WACC = cost of equity	All equity	C §1

Beta note. No clean Nifty-benchmarked beta for Paytm was found: TradingView shows 1.65 over one year without naming the index, and a 5-year beta of −0.27 is distorted by the 2021 IPO crash and the 2024 RBI action S32. We use 1.20 for Paytm and 1.40 for Liminal (a riskier, crypto-exposed, unlisted business). Using 1.65 for Paytm would raise its WACC to 18.7%, which makes the full acquisition's drag cheaper in PV terms but lowers the value of every future synergy; the verdict does not change.

7.2 Liminal DCF, three scenarios

Revenue growth and EBITDA margins by scenario A10:

	FY27	FY28	FY29	FY30	FY31	FY32	FY33	FY34	FY35	FY36
Growth, bear	22%	20%	18%	16%	14%	12%	11%	10%	9%	8%
Growth, base	35%	32%	28%	25%	22%	20%	18%	16%	14%	12%
Growth, bull	50%	45%	38%	32%	27%	23%	20%	17%	15%	13%
Margin, bear	4%	9%	13%	17%	20%	22%	23%	24%	25%	25%
Margin, base	8%	16%	23%	29%	33%	36%	37%	38%	38%	38%
Margin, bull	10%	20%	28%	34%	38%	40%	41%	42%	42%	42%

Base-case revenue with no churn grows from ₹220 Cr to ₹297 Cr (FY27), ₹502 Cr (FY29) and ₹765 Cr (FY31) M. D&A is 4% and capex 5% of revenue, NWC is 2% of incremental revenue A11. Terminal growth is 6% A09.

Liminal enterprise value by scenario and churn (₹ Cr) M

Scenario	0%	5%	15%	30%	37.5%	45%	60%
Bear	428	398	337	243	196	149	55
Base	1,391	1,313	1,154	915	795	673	430
Bull	2,398	2,269	2,009	1,615	1,418	1,221	822

Churned ARR is not free to lose: 60% of it drops through as lost margin in year 1 and 30% in year 2, because costs are sticky before they can be cut A12.

Sensitivity, base, no churn (₹ Cr) M

Discount rate	g 5.0%	g 5.5%	g 6.0%	g 6.5%	g 7.0%
15%	1,696	1,754	1,819	1,891	1,972
16%	1,489	1,533	1,582	1,636	1,696
17%	1,319	1,353	**1,391**	1,432	1,477
18%	1,178	1,205	1,234	1,266	1,300
19%	1,058	1,080	1,103	1,128	1,155

The most generous cell (₹1,972 Cr) is 49% of the price.

7.3 Trading comparables

EV/LTM revenue, 23 September 2026 S78, S79, S80, S81, S82, S83, S84:

Company	EV/LTM revenue	EV/EBITDA	Note
PB Fintech	11.60x	137.0x	
Coinbase	8.35x	72.1x	
Adyen	6.39x	12.2x	net cash may include merchant balances
BitGo	5.96x (on gross profit)	n.m.	reports gross revenue including digital-asset sales; 0.06x on that basis
Pine Labs	4.92x	32.4x	
PayPal	1.41x	7.4x	
Zaggle	0.97x	10.4x	
MobiKwik	0.91x	n.m.	
Infibeam (AvenuesAI)	0.53x	13.5x	gross revenue
Paytm (case figures)	**13.04x**	**172.2x**	M
Deal for Liminal	**18.2x ARR**	n.m.	M

We use the custody and high-growth subset (PB Fintech, Coinbase, Adyen, BitGo on gross profit, Pine Labs), because payment processors that book gross revenue (PayPal, Infibeam, MobiKwik, Zaggle) are not comparable to a software custodian. Its interquartile range is 5.96x to 8.35x A30. The deal multiple is above every name on the list, including Paytm itself.

7.4 Precedent transactions

Deal	Date	Price	EV/Revenue	Revenue basis	Source
Robinhood / Bitstamp	Jun 2025	$200M	2.1x	~$95M LTM, disclosed	S88
Coinbase / Deribit	Aug 2025	$2.9B	9.7x	third-party volume-based estimate	S86
Ripple / Hidden Road	Apr 2025	$1.25B	12.5x	$100M 2024 revenue, disclosed by investor	S85
Mastercard / BVNK	Mar 2026	up to $1.8B incl. $300M contingent	12.5x to 15x	third-party estimate	S87
Ripple / Metaco	May 2023	$250M	n.a.	revenue not disclosed	S89
Stripe / Bridge	Feb 2025	$1.1B	n.a.	revenue not disclosed	S90

Interquartile range of the four deals with a revenue basis: about 7.8x to 12.8x (median 11.1x). The sample is small and two of the four are estimates, so it carries a 20% weight, not more. Even the top of the range (15x on BVNK) is below 18.2x.

7.5 Football field and the stake price

Method	Low	High	Weight	Midpoint
DCF, base, no churn (19% to 15%, g 6%)	₹1,103 Cr	₹1,819 Cr	50%	₹1,461 Cr
Trading comps (5.96x to 8.35x ARR)	₹1,311 Cr	₹1,837 Cr	30%	₹1,574 Cr
Precedents (7.8x to 12.8x ARR)	₹1,716 Cr	₹2,816 Cr	20%	₹2,266 Cr
Weighted fair value (100%)				**₹1,656 Cr (7.5x ARR)**
Proposed price				**₹4,000 Cr (18.2x), 2.4x fair value**

Source: M. The stake price follows a mechanical rule: 24.9% × ₹1,656 Cr = ₹412 Cr, rounded down to ₹400 Cr A24. That implies a post-money valuation of ₹1,606 Cr (7.3x ARR). If Tranche 2 pays in full, the headline valuation reaches ₹4,016 Cr, the founders' number, but only for ARR that has actually arrived.

7.6 Implied multiple under churn

Churn	0%	30%	37.5%	45%	60%
Surviving ARR (₹ Cr)	220	154	137.5	121	88

Churn	0%	30%	37.5%	45%	60%
₹4,000 Cr / surviving ARR	18.2x	26.0x	29.1x	33.1x	45.5x

Source: M. **Action title for the slide:** at ₹4,000 Cr Paytm pays 18.2x today's ARR and 29.1x the ARR that survives a base-case revolt, against a DCF value of ₹795 Cr after that revolt.

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8. The four paths: the minority stake wins on value, risk and optionality

Answer to Q5.1.1. A 24.9% minority stake. It is the only path that is value-positive, EPS-accretive, free of the capital drag, low-churn and a block on the consortium at the same time.

8.1 Symmetric comparison

	Full acquisition	24.9% minority	50:50 JV	Walk away
Consideration	₹4,000 Cr [C]	₹400 Cr + up to ₹600 Cr	₹400 Cr A25	0
Paytm cash out at close	₹2,100 Cr	₹400 Cr	₹400 Cr	0
New Paytm shares	1.024 Cr	0	0	0
New debt	0 (case mix)	0	0	0
Churn, base A13	37.5%	5%	10%	0
Capital drag A14	₹750 Cr/yr [C]	0 (CP-protected)	₹375 Cr/yr	0
NPV bear / base / bull	−8,374 / −7,638 / −6,892	−113 / **+211** / +204	−2,613 / −2,544 / −2,483	0
Probability-weighted NPV	−7,636	**+128**	−2,546	0
FY27 EPS (vs ₹7.50)	₹4.70 (−37.3%)	**₹8.79 (+17.2%)**	₹8.80 (+17.3%)	₹8.85 (+17.9%)
FY29 EPS	₹6.96	₹9.15	₹9.10	₹8.85
PAT breakeven	FY2033	FY2028	FY2029	n.a.
FCF breakeven	Never within 10 years	FY2034 (look-through)	Never (drag exceeds JV cash)	n.a.
Regulatory steps	CCI filing, SEBI preferential issue, RBI engagement	Board approval, LODR disclosure, RBI comfort	New entity, possible new licences	None

	Full acquisition	24.9% minority	50:50 JV	Walk away
Block on consortium	Full	ROFR + matching right	None	None
Reversibility	Very low	High (do not exercise; tag-along)	Medium	n.a.

Sources: all figures M except where tagged. JV figures assume the JV operates custody under joint control (drag ₹375 Cr/yr A14); with zero drag the JV is still slightly negative (−₹193 to −₹63 Cr) M.

8.2 Decision matrix

Criterion	Weight	Full	Minority	JV	Walk	Why the scores differ
Shareholder value (NPV)	25%	1	4	2	4	Full −₹7,638 Cr; JV −₹2,544 Cr; minority and walk-away near or above zero
EPS and FCF impact	15%	1	4	3	5	Full cuts FY27 EPS 37%; minority slightly below walk-away on FY27 EPS
Balance sheet and rating	10%	2	5	4	5	Full drains ₹2,100 Cr plus ₹750 Cr/yr of cash
Client churn risk	15%	1	4	4	5	37.5% vs 5 to 10%
Regulatory and capital-drag exposure	10%	1	4	2	5	Drag attaches to ownership and joint control
Strategic access to custody and tokenization	15%	5	4	3	1	Minority gets licence, board seat and option; walk-away gets nothing durable
Block on the consortium	10%	5	4	1	1	ROFR and matching right vs nothing
Weighted score	100%	**2.10**	**4.10**	**2.70**	**3.75**	

Source: [M, A28]. Walk-away is a respectable second. What separates the minority is strategic access and the consortium block, bought for a positive NPV.

8.3 Can a licence do the job instead? (Q5.1.4)

A commercial MPC licence alone captures most of the operating benefit: we assume 70% of the revenue synergy A22 plus the avoided ₹40 Cr/yr build A20. It fails in three ways:

1. **Change of control.** If the consortium buys Liminal, the licence can be terminated or repriced. A licence is only as durable as the licensor's independence.
2. **No seat, no information.** Paytm would have no view of Liminal's tokenization roadmap or its regulatory dialogue.
3. **No path to control.** If the regulatory gate opens, Paytm has no pre-agreed route in.

The licence plus 24.9% equity plus a ROFR fixes all three. The equity is what makes the licence durable.

8.4 Reasons to accept or reject the transaction as proposed (Q5.1.5)

Reasons to accept (as proposed, ₹4,000 Cr full)	Reasons to reject
Owns India's first FIU-registered custodian outright	NPV −₹7,638 Cr base; negative in every scenario, even with zero churn and zero drag
Full control of the tokenization and e₹ option	37.5% expected ARR loss; 60% of ARR sits with four clients with reasons to leave
Blocks the consortium completely	₹750 Cr/yr drag, 3.4x Liminal's ARR and 156% of Paytm's PAT
	FY27 EPS falls 37.3% to ₹4.70; PAT breakeven not until FY2033; FCF never within 10 years
	Likely ~₹2,800 Cr goodwill impairment at the first annual test
	Puts crypto custody inside an RBI-regulated PA group that has just rebuilt its standing

Verdict: reject the transaction as proposed, and approve the restructured minority.

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9. Stress test of the full acquisition: no churn level makes it work

Answer to Q5.2.3, Q5.2.4, Q5.3.4 and Q5.3.5. At the case's churn range the full deal loses ₹7,518 Cr to ₹7,760 Cr. It loses ₹7,042 Cr at zero churn. Churn is not the swing factor. The capital drag is (₹4,839 Cr of PV on its own), followed by the price.

9.1 NPV grid, base case (₹ Cr)

Annual drag \ churn	0%	15%	30%	37.5%	45%	60%
₹0	−2,203	−2,440	−2,679	−2,799	−2,921	−3,164
₹250 Cr	−3,816	−4,053	−4,292	−4,412	−4,534	−4,777
₹500 Cr	−5,429	−5,666	−5,905	−6,025	−6,147	−6,390
₹750 Cr (case)	−7,042	−7,279	**−7,518**	**−7,638**	**−7,760**	−8,002

Source: M. Each percentage point of churn costs about ₹16 Cr of NPV. Each ₹250 Cr of annual drag costs ₹1,613 Cr.

9.2 Maximum justified control price (value before price, ₹ Cr)

Scenario	No churn, no drag	37.5% churn, no drag	No churn, ₹750 Cr drag	37.5% churn, ₹750 Cr drag
Bear	697	465	−4,142	−4,374

Scenario	No churn, no drag	37.5% churn, no drag	No churn, ₹750 Cr drag	37.5% churn, ₹750 Cr drag
Base	1,797 (8.2x ARR)	1,201	−3,042	−3,638
Bull	2,927	1,946	−1,912	−2,892

Source: M. With the case's drag, no price above zero is justified: Paytm would need to be *paid* to take control.

9.3 What level of churn makes the deal unattractive? (Q5.2.4)

None, because it is unattractive at 0%. The question can be turned round: what would it take for a full acquisition to break even? With zero drag, the base case needs a price of ₹1,500 Cr and churn below 18.7%. The bull case needs ₹2,000 Cr and churn below 35.4%. At ₹3,000 Cr or ₹4,000 Cr it never breaks even, even in the bull case M.

For the recommended minority, the break-even churn is 57.6% in the base case and 86.2% in the bull case, against an expected 5% M.

9.4 Return profile under the case churn range (Q5.2.3)

Churn	0%	30%	37.5%	45%	60%
NPV (₹ Cr)	−7,042	−7,518	−7,638	−7,760	−8,002
FY27 EPS (₹)	5.75	4.92	4.70	4.48	4.04
Implied multiple on surviving ARR	18.2x	26.0x	29.1x	33.1x	45.5x

Source: M.

9.5 Breakeven on both bases (Q5.3.4, K5)

Definitions:

- **PAT basis:** the first year pro-forma EPS is back at the MDR-adjusted standalone EPS (full deal and JV), or deal-attributable PAT turns positive (minority).
- **FCF basis:** the first year cumulative deal operating FCF, after the capital drag, covers the cash paid (full deal); or cumulative look-through FCF covers the cash paid (minority).

Path	PAT breakeven (bear / base / bull)	FCF breakeven (bear / base / bull)
Full acquisition, case funding	never / **FY2033** / FY2031	never / **never** / never within 10 years
Full acquisition if drag were zero	base FY2032	base never within 10 years
24.9% minority	FY2029 / **FY2028** / FY2028	never / **FY2034** / FY2035
JV	FY2029 / FY2029 / FY2028	never (drag exceeds JV cash flow)

Source: M. The full deal's cumulative operating FCF over FY27 to FY36 is negative, because the ₹750 Cr drag exceeds Liminal's free cash flow in every year of the forecast. Paytm's cash falls from ₹8,900 Cr to

₹6,800 Cr at close and to ₹5,563 Cr by FY31, even after adding its own PAT and the MDR back every year M.

9.6 How much of the drag the MDR covers (Q5.3.5)

₹115 Cr / ₹750 Cr = **15.3% pre-tax**. On a like-for-like cash basis, ₹86.05 Cr / ₹750 Cr = **11.5%** M. The MDR arrives in every path, so none of it is a deal benefit.

9.7 How we treated the drag, and why it does not change the answer

The case calls the drag a "recurring annual Free Cash Flow drag" C §3.2. We treat it as a perpetual outflow (PV ₹4,839 Cr at 15.5%). A reviewer could argue the capital is only trapped, not lost, and is released one day. The two alternative treatments:

Treatment	PV of drag	Full-deal base NPV
Perpetual outflow (our base)	₹4,839 Cr	−₹7,638 Cr
Trapped for 10 years, never released	₹3,693 Cr	n.a.
Trapped for 10 years, then fully released	₹1,918 Cr	**−₹4,717 Cr**

Source: M. Even on the mildest reading the deal destroys ₹4.7 thousand crore.

9.8 The accounting headline

Under Ind AS 103, acquisition costs are expensed and goodwill is recognised; under Ind AS 36, goodwill is tested for impairment every year S113, S115. At 37.5% churn, Liminal's recoverable value (₹795 Cr DCF plus ₹406 Cr of synergies) is about ₹1,201 Cr against a ₹4,000 Cr carrying value M. The first annual test would likely force a write-down of about ₹2,800 Cr, subject to the purchase-price allocation. That is a reported-PAT event larger than five years of Paytm's case PAT.

9.9 The FY27 PAT bridge for the full deal

Step	₹ Cr
Paytm PAT [C]	480.0
+ UPI MDR after tax [C, A02]	+86.1
− forgone interest on ₹2,100 Cr cash A03	−94.3
− negative carry on locked reserves A05	−5.6
− standalone governance cost A17	−11.2
− PPA amortisation A18	−74.8
− transaction costs A19	−44.9
− Liminal loss after churn (37.5%) A12, A13	−59.4
+ avoided build A20	+29.9
Pro-forma PAT	**305.7**

Step	₹ Cr
÷ 65.024 Cr shares = **FY27 EPS ₹4.70 (−37.3% vs ₹7.50)**	

Source: M.

10. Recommended structure and financing

Answer to M3, Q5.3.1, Q5.3.2 and Q5.3.6. Pay ₹400 Cr from balance-sheet cash for 24.9%. Pay up to ₹600 Cr more only for ARR that has been delivered. Issue no shares, raise no debt. FY27 EPS rises to ₹8.79. The drag never arrives, because Paytm never owns the custody infrastructure.

10.1 Term sheet

Term	Proposal
Investor	One97 Communications Ltd (listed holdco), never PPSL (the PA entity)
Investee	First Answer India Technologies Pvt Ltd (Liminal's Indian entity, FIU-IND registered) S38
Instrument	Compulsorily convertible preference shares (CCPS), 1x non-participating liquidation preference; the Articles must adopt the 2015 private-company exemption for preference terms to bind S124
Stake	24.9% fully diluted A24
Upfront price	₹400 Cr: ₹250 Cr primary (growth capital), ₹150 Cr secondary (liquidity for early holders) A24
Implied valuation	Post-money ₹1,606 Cr, 7.3x ARR M
Tranche 2	Up to ₹600 Cr in FY30, a separate conditional share purchase: ₹0 if FY29 ARR ≤ ₹500 Cr, linear to ₹600 Cr at ≥ ₹650 Cr, and only if top-4 gross revenue retention is ≥ 90%. Priced at or below fair value at that time, so it complies with FEMA pricing if any seller is non-resident S109. It is deliberately not deferred consideration, which FEMA caps at 25% of the price and 18 months S107
Headline if Tranche 2 pays in full	₹4,016 Cr for 100% M
Commercial licence	MPC and custody technology for Paytm's tokenized-treasury, e₹ and cross-border B2B settlement uses; ₹25 Cr/yr A23; survives any change of control of Liminal for 5 years
ROFR and matching right	On any transfer of more than 5% by founders or investors, and a 30-day right to match any change-of-control offer; tag-along for Paytm. Enforceable as a contract under s.58(2) and permitted by SEBI's 2013 notification; must be written into Liminal's Articles S122, S123
Call option	On the remaining 75.1%, exercisable in months 30 to 42 after close, at independent fair value with a collar of 8x to 12x trailing ARR; subject to gates G1 to G5 (§13). FEMA permits options with a 1-year lock-in and no assured return S108
Board	One Paytm non-executive nominee on a 7-seat board (§11)
Standstill	Paytm stays at or below 24.9% until the option is exercised

Term	Proposal
Non-compete	Paytm will not build competing institutional custody
Information rights	Aggregate KPIs only; no client-level data
Conditions precedent	RBI comfort letter (§12), quality-of-earnings review confirming ARR ≥ ₹200 Cr, forensic review of the WazirX incident, client comfort letters from the top-4 clients, IP assignment or licence ensuring the Indian entity holds rights to the MPC stack for Indian clients
Reverse break fee	₹30 Cr, payable only if Paytm walks away without a CP failure A29
Long-stop date	6 months from signing

10.2 Financing

- **100% balance-sheet cash.** ₹400 Cr is 4.5% of Paytm's ₹8,900 Cr cash C §1. Tranche 2, if earned, is paid from cash in FY30.
- **Credit metrics unchanged.** Gross debt stays ₹350 Cr (0.55x EBITDA), interest cover stays 20.9x, and cash falls to ₹8,500 Cr M. On CRISIL's financial-ratio approach (gearing, interest coverage, debt service, net cash accruals, liquidity) S116, nothing moves. The AA- (Stable) rating C §1 is not pressured.
- **Why not debt.** Funding even the full deal's ₹2,100 Cr cash leg with debt takes gross debt to 3.83x EBITDA and interest cover down to 3.0x M, a profile inconsistent with AA-.
- **Why not equity for a minority.** A share swap for a stake this size would need a SEBI preferential issue (floor price at the higher of the 90-day and 10-day VWAP, a registered valuer's report, a special resolution, a 6-month lock-in for allottees) S102, S103, and would dilute shareholders to save ₹14 Cr/yr of post-tax interest.

10.3 Funding mixes for the full deal, for comparison (Q5.3.1, Q5.3.2)

Mix	FY27 EPS	vs ₹7.50	New shares	Gross debt / EBITDA	Interest cover	Cash after close	Cash FY31
M1 case: ₹2,100 Cr cash + ₹1,900 Cr equity	₹4.70	−37.3 %	1.024 Cr (1.60%)	0.55x	20.9x	₹6,800 Cr	₹5,563 Cr
M2: ₹2,100 Cr debt + ₹1,900 Cr equity	₹4.04	−46.2 %	1.024 Cr	3.83x	3.0x	₹8,900 Cr	₹7,446 Cr
M3: ₹1,050 Cr cash + ₹1,050 Cr debt + ₹1,900 Cr equity	₹4.37	−41.7 %	1.024 Cr	2.19x	5.2x	₹7,850 Cr	₹6,504 Cr
M4: ₹4,000 Cr all equity	₹6.05	−19.4 %	2.156 Cr (3.37%)	0.55x	20.9x	₹8,900 Cr	₹8,134 Cr
M5: ₹4,000 Cr all cash	₹3.44	−54.1 %	0	0.55x	20.9x	₹4,900 Cr	₹3,236 Cr
Recommended minority, all cash	**₹8.79**	**+17.2 %**	**0**	**0.55x**	**20.9x**	**₹8,500 Cr**	n.a.

Source: M. Every full-deal mix has the same NPV (−₹7,638 Cr): financing moves EPS and credit metrics, not value. All-equity is the least dilutive because Paytm's 0.40% earnings yield makes its stock cheaper than its cash. Debt is the worst for the rating.

10.4 EPS bridge, recommended structure, FY27

Step	₹ per share
Case baseline EPS	7.500
+ UPI MDR (not a deal effect)	+1.345
− forgone interest on ₹400 Cr	−0.281
− licence fee	−0.292
+ avoided in-house build	+0.468
+ retained synergy (zero in FY27)	0.000
+ equity-method share of Liminal profit and interest on primary cash	+0.051
Pro-forma EPS	**8.790**

Source: M. Against the MDR-adjusted baseline of ₹8.845, the deal effect in FY27 is −₹0.055 (−0.6%), turning positive in FY28 M. At 24.9% with a board seat and a call option, Liminal is presumed an associate under Ind AS 28 and is equity-accounted S114.

10.5 If the Board insists on full control

The least-bad full structure uses M4-style equity-heavy consideration, holds 20% of the equity in escrow with a retention-linked claw-back, defers the cash leg against retention, and adds a CVR on ARR. This improves FY27 EPS to about ₹6.05, but NPV stays around −₹7,000 Cr, because the drag is structural, not a financing problem.

10.6 What deferred consideration, earn-outs and CVRs can and cannot do (Q5.3.6)

They transfer *price risk* to the seller: pay less if ARR disappears. That is why Tranche 2 exists. They do nothing about the ₹750 Cr/yr drag, which follows ownership of custody infrastructure C §3.2, not the price paid. The only structural fix for the drag is not to own the custody infrastructure. The minority does that, and it keeps the earn-out logic in Tranche 2 as well. Mastercard's $300M contingent tranche on BVNK is the sector precedent for performance-linked consideration S23.

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11. Churn defense and governance

Answer to M2, Q5.2.1 and Q5.2.2. Under full control, losing the top-4 clients is the single most likely outcome in the case: 60% of ARR sits with four institutions that each have a concrete reason to leave a custodian owned by a payments rival. Under the minority, Liminal stays independent and the same safeguards, which would only reduce churn under control, keep expected churn near 5%.

11.1 Client-by-client risk

Client	Why a Paytm-controlled custodian worries them	Risk under full control	Risk under minority
HDFC Bank	A regulated bank's custody provider owned by a payments rival with a consumer wallet; RBI is pushing banks away from crypto exposure S58; data exposure	High	Low
Axis Bank	Same as HDFC	High	Low
CoinDCX	An exchange whose flows would be visible to a payments group; CoinDCX was a seed investor in Liminal S42	High	Low
ZebPay	Same as CoinDCX; the founder link to Mahin Gupta C §2 is a relationship asset that control could strain	Medium to high	Low

External evidence. No public data quantifies client churn after a custody vendor changes hands (we record this honestly rather than invent a number). The documented reactions point one way:

- Citi reviewed its Metaco custody contract about six weeks after Ripple agreed to buy Metaco S51, and Metaco's CEO said banks raised the ownership change and it took months to reassure them S52.
- Standard Chartered is folding Zodia's custody business back into the bank because the bank's own unit and Zodia "competed for the same institutional clients" S50, which is channel conflict inside one group.
- Visa's $5.3B bid for Plaid was abandoned in January 2021 after a DOJ challenge, so no churn data exists for that case either S54.
- Mastercard's Finicity deal drew supportive client statements at announcement S53, a reminder that churn is not automatic when the owner is not a direct competitor. Paytm is one.

11.2 Safeguards (apply to the minority now, and would be needed under any later control)

Safeguard	Mechanism	Client concern addressed
Independent-majority board	7 seats: 2 management, 1 Paytm non-executive nominee, 1 existing investor, 3 independents including the chair (a bank risk or regulatory profile, a cybersecurity expert, an audit chair)	Ownership influence
Recusal	Paytm nominee recused from client-level matters; Risk and Security committee has no Paytm member	Data and competitive exposure
Information barrier	Contractual and technical: separate cloud tenancy and identity management, no data sharing, aggregate KPIs only; certified annually by an external auditor; client audit rights	Data and flow visibility
Standalone identity	Liminal keeps its brand, legal entity, key management personnel and FIU-IND Principal Officer	Perception of neutrality
Client charter	Change-of-control termination rights and most-favoured-nation pricing for all institutional clients	Lock-in fear
Key-shard escrow	MPC key-shard continuity escrow with an independent trustee	Operational continuity

Safeguard	Mechanism	Client concern addressed
Client Advisory Council	Top clients meet the independent chair quarterly	Voice
Paytm non-compete	No competing institutional custody	Channel conflict
Paytm standstill	Stays at or below 24.9% until the gates are met	Creeping control

11.3 Churn by path, and how we validate it

Path	Base	Range	Reasoning
Full acquisition	37.5%	30% to 45%	Case range C §3.1
24.9% minority	5%	0% to 15%	Independence preserved; residual perception risk A13
JV	10%	5% to 15%	Association without control A13
Walk away	0%	n.a.	

The minority and JV churn figures are team assumptions and cannot be verified without talking to the clients. We have not done that, and we do not claim to have. Instead, a **Customer Validation Plan** is a condition precedent:

- Structured conversations before signing with the custody head, chief risk officer and procurement lead at each of the top-4 clients.
- Plus 8 long-tail clients across hedge funds and OTC desks.
- The deliverable is a comfort letter from each top-4 client.

11.4 Churn stress on the recommendation

Minority stress test	NPV (₹ Cr)
Base (5% churn)	+211
0% churn	+225
15% churn	+171
Break-even churn	57.6%

Source: M. The minority is robust to churn because Paytm pays fair value for a 24.9% slice and bears none of the sticky-cost losses at the Paytm level.

12. Regulatory path and compliance architecture

Answer to Q5.4.1 to Q5.4.4. The minority needs no RBI approval and, on our reading, no mandatory CCI filing; it needs Board approval, a stock-exchange disclosure and an RBI comfort letter that we make a condition precedent. Investing through One97 into Liminal's Indian entity avoids the overseas investment regime, which Paytm would likely fail, and keeps the PA licence ring-fenced.

12.1 Why the Indian entity, and why One97

- **The ODI trap.** Under the FEMA Overseas Investment Rules 2022, an Indian company that is not in financial services may invest in a foreign financial-services entity only if it posted net profits in each of the preceding three years S97, S98. One97 lost about ₹1,417 Cr in FY24 and ₹658.7 Cr in FY25 before earning ₹552 Cr in FY26 S16, S06. A stake in Liminal's Singapore parent would therefore need the RBI approval route (or a contestable argument that crypto custody is not "financial services"). Any open ED matter would also require an agency NOC S99, S100.
- **The domestic route.** First Answer India Technologies is an Indian company. One97 has been an Indian-owned and -controlled company since early 2026 (domestic investors 50.3%) S13, S14, so its investment is not indirect foreign investment. One open point for diligence: Ant Group retains an economic interest in about 5.22% of Paytm through optionally convertible debentures held by Resilient Asset Management S127, and no regulator has ruled on whether that matters under Press Note 3. Paying in cash, not shares, keeps this off the critical path. A primary subscription is resident-to-resident and outside FEMA pricing; Companies Act valuation rules apply S109.
- **PA ring-fence.** RBI's 2025 PA directions require prior approval for a change of control of the PA itself (PPSL) and fit-and-proper promoters, with RBI's decision final S110, S111. Investing at the One97 level, not PPSL, keeps Liminal out of the PA's balance sheet and licence.

12.2 Sequence for the recommended minority

Phase	Steps	Risks to close out
Pre-signing (weeks 0 to 8)	Due diligence: technology and security (independent WazirX forensic review), legal and litigation (Delhi Police chargesheet S36, ADGM withdrawal S39), FIU-IND and PMLA compliance, tax and GST, quality of earnings. Route decision: Indian entity (§12.1). Informal RBI (DPSS) consultation. CCI analysis. Customer Validation Plan conversations. Board approval (unanimous under s.186 S106). SEBI LODR Reg 30 disclosure within 30 minutes of the board meeting, since a 5%+ acquisition is disclosable regardless of size S104, S105	RBI's view of a PA group holding a crypto custodian; security liabilities; revenue quality
Signing to closing (weeks 8 to 20)	Conditions precedent: RBI comfort letter; client comfort letters; registered valuer's report; Liminal shareholder special resolution for the CCPS issue; Articles amended for ROFR, tag, option and preference terms S122, S124; FEMA filings for any non-resident secondary sellers (price ≤ fair value S109); FIU-IND notification of the change in beneficial ownership	CP failure, client notice, security incident
Post-closing (day 1 to 100, then ongoing)	Board reconstitution; information barrier live and certified; licence live; equity-method accounting (Ind AS 28 S114); quarterly compliance reporting to the Paytm audit committee; gate tracking	Barrier leakage, regulatory drift

12.3 Competition clearance

- The deal value threshold is ₹2,000 Cr for targets with substantial business operations in India S91, S92. Value includes deferred consideration and call options assuming full exercise S93.
- Our structure: ₹400 Cr upfront plus up to ₹600 Cr Tranche 2 = ₹1,000 Cr. CCI's September 2025 FAQs say options vesting after two years may be excluded S94; ours opens at month 30. Liminal is below the de minimis thresholds (turnover under ₹1,250 Cr, assets under ₹450 Cr) S96, S91. On this reading, no filing is required. Counsel must confirm.
- If the option were counted at full exercise and pushed value above ₹2,000 Cr, the Green Channel applies (no horizontal, vertical or complementary overlap between Paytm and a custodian), giving deemed approval on filing S95.
- The full acquisition, by contrast, is a mandatory filing at ₹4,000 Cr with a 30-day Phase I and a 150-day outer limit S95.

12.4 Does owning custody add regulatory or capital requirements? (Q5.4.2)

Yes. The case assumes RBI would require bank-like capital reserves once Paytm owns the custody infrastructure, a ₹750 Cr/yr FCF drag C §3.2. RBI's 2026 stance on crypto (containment "leaning towards prohibition" S57, S133) makes that assumption plausible, not conservative. Our structure is built so Paytm does not own the infrastructure. The RBI comfort letter converts the assumption that a 24.9% non-controlling stake is not "ownership" into a confirmed fact before any cash moves. If RBI declines, the deal lapses at a cost of diligence fees only.

Stress test: if RBI applied a proportional drag to the minority (24.9% × ₹750 Cr = ₹187 Cr/yr), the minority's NPV would fall to −₹996 Cr M. That is exactly why the comfort letter is a condition precedent rather than a hope.

12.5 Full-acquisition counterfactual (what the Board avoids)

Additional step under full acquisition	Source
SEBI preferential issue for ₹1,900 Cr of shares: special resolution at an EGM or postal ballot, VWAP floor pricing, exchange in-principle approval, valuer report, 6-month lock-in	S102, S103
Mandatory CCI filing (₹4,000 Cr > ₹2,000 Cr)	S91, S95
RBI engagement on PA-group implications and capital; fit-and-proper review	S110
Rating-agency engagement	S116
Goodwill recognition and annual impairment testing	S113, S115

12.6 Data, compliance, AML and information security (Q5.4.4)

Liminal stays a separate reporting entity under PMLA with its own controls:

- **AML.** An India-based, full-time Principal Officer and a separate Designated Director. Suspicious-transaction reports within 7 working days. Real-time Travel Rule compliance under FIU-IND's January 2026 guidelines S117, S118. Sanctions screening including Lazarus-linked wallet lists, given the WazirX history.
- **Cyber.** CERT-In's six-hour incident reporting, 180-day log retention in India and five-year KYC retention for custodian wallet providers S119.

- **Data protection.** DPDP Act duties: core data-fiduciary obligations from May 2027, 72-hour breach reporting to the Board, penalties up to ₹250 Cr S120, S121.
- **Security certifications.** SOC 2 Type II and ISO 27001 maintained C §2; annual independent penetration test; HSM plus MPC key management.
- **Separation from Paytm.** No Paytm access to client data. Paytm's audit committee receives aggregate KPIs and the annual barrier certification only.

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13. Contingency planning

Q5.6.1: churn above 45%.

- *Under a full acquisition*, the remediation ladder is:
  1. Claw back escrowed equity consideration.
  2. Move key custody to an independent trustee and re-brand.
  3. Sell down to 24.9% or below to a bank consortium or financial sponsor within 18 months, converting after the fact to the structure we recommend today.
  4. Take the impairment and disclose it.
- *Under the recommended minority*, the remedy is built in: Paytm does not exercise the option, pays no Tranche 2, keeps its liquidation preference, and can exit through tag-along.

Q5.6.2: minority now, option later. Yes. That is the recommendation.

Q5.6.3: exercise gates. All five must hold before the option is exercised:

Gate	Test
G1 Regulatory	Written RBI position that the capital requirement on ownership is ₹150 Cr/yr or less, or a ring-fenced custody regime outside the PA group; no VDA prohibition law enacted
G2 Clients	Top-4 clients have renewed for 3+ years with change-of-control consent; gross revenue retention ≥ 90%; top-4 concentration below 45%
G3 Financial	Liminal trailing ARR ≥ ₹500 Cr; EBITDA margin ≥ 20%
G4 Security	Clean SOC 2 Type II; no Sev-1 security incident in the prior 24 months
G5 Paytm	Year-1 EPS dilution from exercise ≤ 5%; NPV at the strike ≥ 0 at the then-prevailing drag; CRISIL AA- affirmation expected

Q5.6.4: can Liminal stay standalone and arm's-length indefinitely? Yes, as an associate, and that is the steady state if G1 never clears. Under full ownership it could operate at arm's length, but the drag would persist, because it attaches to ownership, not to the operating model. The precedents cut both ways: Coinbase runs an independently capitalised custody trust company S129, while Standard Chartered found an arm's-length custodian inside a bank group ended up competing with the bank and pulled it back in S50.

Q5.6.5: walk-away conditions after signing.

Condition	Contract mechanism
RBI declines comfort, or indicates the capital requirement applies at 24.9%	Condition precedent; lapse without break fee
Any top-4 client serves notice before close	Condition precedent (client comfort letters)
Diligence finds unresolved liabilities (WazirX-related, FIU-IND non-compliance)	Condition precedent plus specific indemnity
Closing ARR below ₹200 Cr (−10%)	Condition precedent (quality of earnings)
Sev-1 security incident before close	Material adverse change clause
A VDA prohibition bill is introduced	Material adverse change clause
Long-stop date passes	Automatic termination

14. Risk register

#	Risk	Category	Probability (1 to 5)	Impact (1 to 5)	Score	RAG	Mitigant	Owner	Trigger
1	RBI treats a 24.9% stake as ownership (drag applies)	Regulatory	2	5	10	Amber	RBI comfort letter as CP; deal lapses	CFO, Regulatory Affairs	RBI response
2	Liminal security incident	Operational	2	5	10	Amber	Forensic DD, SOC 2, CERT-In reporting, liquidation preference, no Paytm balance-sheet exposure	Paytm nominee director	Any Sev-1
3	Consortium bids for control of Liminal	Competitive	3	3	9	Amber	ROFR + matching right; Plan B vendors	Strategy	Offer notice
4	VDA prohibition law	Regulatory	2	4	8	Amber	Pivot Liminal to tokenized and e₹ custody; option stays unexercised	Strategy	Bill introduced
5	Client churn higher than 5%	Commercial	2	3	6	Green	Safeguards §11; break-even churn 57.6%	Liminal CEO	Quarterly GRR

#	Risk	Category	Probability (1 to 5)	Impact (1 to 5)	Score	RAG	Mitigant	Owner	Trigger
6	Founder or key-talent exit	People	2	3	6	Green	Founder retention via Tranche 2 and ESOP refresh from primary	Liminal board	Resignation
7	Overpayment or impairment of the stake	Financial	2	2	4	Green	Price at 7.3x vs 7.5x fair value; Tranche 2 only on delivery	CFO	Annual impairment test
8	MDR rolled back	Policy	2	2	4	Green	Recommendation does not rely on MDR	CFO	NPCI circular
9	FEMA or ODI route challenged	Legal	2	3	6	Green	Indian-entity route; counsel opinion	Legal	Structuring
10	CCI counts the option and requires filing	Legal	2	1	2	Green	Green Channel deemed approval	Legal	Counsel view
11	Licence or integration underdelivers	Execution	3	2	6	Green	Service levels in licence; 5-year survival clause	CTO	Usage KPIs
12	Reputational spill-over to Paytm (crypto association)	Reputational	2	3	6	Green	Standalone brand; no Paytm co-branding; no VDA exposure at Paytm	Communications	Media event

Heat-map layout for the slide: a 5×5 grid (probability on the x-axis, impact on the y-axis), with risks 1 and 2 in the amber band top-left of centre, risk 3 in the centre, and the rest in the green band.

15. Implementation roadmap and decision triggers

First 100 days after Board approval

Weeks	Activity
0 to 2	Board approval; LODR disclosure; appoint advisors; open data room
2 to 8	Diligence (forensic, legal, QoE); RBI DPSS consultation; Customer Validation Plan; CCI analysis
8	Sign; announce ROFR and licence
8 to 20	CPs: RBI comfort, client letters, valuer report, Articles, FIU-IND notification
20	Close; board reconstitution; licence live
20 to 34	Information barrier certification; first quarterly KPI pack; Plan B vendor shortlist kept warm

Thirty-six months

Month	Gate review	Decision
12	Churn and GRR, licence usage, RBI dialogue	Continue or escalate risks
24	ARR trajectory vs Tranche 2 band, security record	Prepare Tranche 2
30	All five gates	Open the option window, or stay at 24.9%
30 to 42	Option window	Exercise only if G1 to G5 hold and NPV at strike ≥ 0

KPI dashboard. Liminal ARR, gross revenue retention, top-4 concentration, EBITDA margin, security incidents, RBI dialogue status, licence usage by Paytm, Paytm EPS impact.

Kill switches. RBI indicating that the drag applies; any top-4 client leaving because of Paytm; a Sev-1 security incident; a VDA prohibition law; Liminal ARR below ₹200 Cr; information-barrier failure; a consortium offer above the maximum justified price (Paytm lets it pass).

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16. Assumptions register and model summary

16.1 Case facts used (never modified)

₹1,18,750 Cr market cap; 64 Cr shares; ₹8,900 Cr cash; ₹350 Cr debt; CRISIL AA- (Stable); revenue ₹8,450 Cr; EBITDA ₹640 Cr; PAT ₹480 Cr; EPS ₹7.50 C §1. Deal ₹4,000 Cr (₹2,100 Cr cash, ₹1,900 Cr equity); ARR ₹220 Cr; top-4 clients 60% of ARR; Liminal about breakeven C §2. Churn 30% to 45% under full acquisition C §3.1. Drag ₹750 Cr/yr C §3.2. MDR ₹115 Cr/yr C §3.4.

Note on the rating. Our research found no current CRISIL rating for One97 or PPSL S131; we use AA- (Stable) because the case states it, per the Modeling Clarification CL.

16.2 Team assumptions

ID	Assumption	Value	Rationale
A01	Share price for issuance	₹1,855.47	Market cap ÷ shares

ID	Assumption	Value	Rationale
A02	Tax rate	25.17%	Section 115BAA; carried losses ignored (conservative)
A03	Pre-tax yield on Paytm cash	6.00%	364-day T-bill 5.74% S28 plus treasury mix
A04	Cost of new debt	8.75%	AA band 8.0% to 9.5% S29
A05	Yield on locked reserves	5.00%	RBI SDF rate S27; 1% negative carry
A06	Paytm PAT held flat	₹480 Cr	Isolates the deal effect
A07	Paytm WACC	15.5%	7.04% + 1.20 × 7.08% S30, S31
A08	Liminal discount rate	17.0%	7.04% + 1.40 × 7.08%
A09	Liminal terminal growth	6.0%	Below India's nominal growth
A10	Liminal growth and margin paths	§7.2	Three scenarios
A11	D&A, capex, NWC	4%, 5%, 2% of incremental revenue	Infrastructure-software norms
A12	Loss on churned ARR	60% year 1, 30% year 2	Sticky costs
A13	Churn by path	Full 37.5%; minority 5%; JV 10%; walk 0	§11.3
A14	Drag by path	Full ₹750 Cr [C]; minority 0 (stress ₹187 Cr); JV ₹375 Cr	Drag follows ownership × control
A15	Drag treatment	Perpetual; alternatives in §9.7	Case says "recurring"
A16	MDR	₹115 Cr [C] in every path	Deal-independent
A17	Standalone governance cost (full)	₹15 Cr/yr	Board, barriers, separate infrastructure
A18	PPA amortisation (full)	₹100 Cr/yr for 10 years	25% of price as intangibles
A19	Transaction costs (full)	₹60 Cr	1.5% of deal value
A20	Avoided in-house build	₹40 Cr/yr	3-year MPC build and certifications
A21	Revenue synergy	₹0 to ₹165 Cr/yr (base), 40% margin, 5% terminal growth	Tokenized settlement, e₹, cross-border B2B
A22	Synergy retained via licence	70%	Operations, not growth economics
A23	Licence fee	₹25 Cr/yr	Platform fee

ID	Assumption	Value	Rationale
A24	Stake terms	24.9%; ₹400 Cr upfront (₹250 Cr primary, ₹150 Cr secondary); Tranche 2 up to ₹600 Cr on FY29 ARR ₹500 to ₹650 Cr	Priced at 24.9% × weighted fair value, rounded down
A25	JV terms	50:50; ₹400 Cr cash; ₹40 Cr/yr set-up for 2 years	Symmetric with the minority
A26	Scenario probabilities	Bear 25%, base 50%, bull 25%	
A27	Call option	Months 30 to 42; FMV strike, 8x to 12x trailing ARR collar	FEMA: no assured return
A28	Decision-matrix weights	Value 25, EPS/FCF 15, rating 10, churn 15, drag 10, access 15, block 10	
A29	Reverse break fee	₹30 Cr	Only on a walk without CP failure
A30	Comparables basis	Trading 5.96x to 8.35x ARR (custody and high-growth subset); precedents 7.8x to 12.8x; weights 50/30/20 with DCF	§7

16.3 Assumptions-slide content (the fourteen that move the answer)

A07, A08, A13 (churn by path), A14 (drag by path), A15 (drag treatment), A16 (MDR treatment), A18, A20, A21, A22, A24, A26, A27, A30.

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17. Slide blueprint for the Figma deck

The deck runs cover + 12 core slides + appendix + thank you. Each core slide carries an action title, a source line and at least four visual forms. Data keys refer to `model_outputs.json`.

#	Slide	Action title	Content blocks	Data
1	Cover	Project Satoshi Gate: a board recommendation on Liminal Custody Solutions	Title, recommendation strip, team block	n.a.
2	Executive Summary	Take 24.9% of Liminal for ₹400 Cr with a path to control; buying it outright destroys ₹7,638 Cr	Recommendation panel; for/against columns; 4 KPI tiles (NPV, EPS, drag, churn); E1 to E8 answer strip	`moneyshot`, `pw_npv`, `eps_bridge_min_fy27`
3	Situation overview	Paytm trades at 247x earnings with 8.1% of UPI, so growth must come from beyond payments without an EPS hit	Ratio table; UPI share bars; MDR mechanics diagram; regulatory timeline 2022 to 2026	`ratios`
4	Strategic value and targets	Custody is a real 3 to 7 year option on India's tokenized rails, and its moat is neutrality, which control destroys	Four-arena matrix; VRIO; MECE target filter; peer valuation strip	§4, §5

#	Slide	Action title	Content blocks	Data
5	Valuation	₹4,000 Cr is 18.2x ARR today and 29.1x after a base-case revolt, 2.4x Liminal's ₹1,656 Cr fair value	Football field; implied-multiple bars; DCF grid; comps table	`football`, `implied_mult`, `dcf_grid_base`
6	Four paths	The minority stake scores 4.10 of 5, ahead of walk-away 3.75, JV 2.70 and full acquisition 2.10	Symmetric table; weighted matrix; licence-vs-ownership panel	`matrix`, `paths`
7	Stress test (moneyshot)	Buying control destroys ₹7,638 Cr in the base case and still loses ₹7,042 Cr with zero churn	Churn × drag heatmap; giant numeral; PAT/FCF breakeven timeline; MDR-offset bar; drag-treatment table	`full_grid`, `breakeven_summary`
8	Structure and financing	₹400 Cr of cash buys the stake with no new shares or debt, and FY27 EPS rises to ₹8.79	Term sheet; EPS waterfall; funding-mix table M1 to M5; credit metrics	`funding`, `eps_bridge_min_fy27`
9	Churn and governance	Independence holds expected churn to 5% against 37.5% under control; the stake breaks even only at 57.6%	Client risk table; governance chart; safeguard matrix; churn-by-path bars	`min_stress`, `min_be_churn`
10	Regulatory path	Investing through One97 into Liminal's Indian entity avoids the ODI test and mandatory CCI review, and keeps the PA ring-fenced	Three-phase swimlane; regulator map; compliance architecture	§12
11	Competition and contingency	The consortium inherits the same bank revolt, so Paytm competes on structure and never pays above ₹1,797 Cr for control	Game tree; response ladder; walk-away triggers; >45% churn ladder	`max_price`, `compression`
12	Roadmap and risks	Five gates decide the option in months 30 to 42; failing any one keeps Paytm at 24.9%	Gantt; gate table; KPI dashboard; risk heat map	§13 to §15
13	Assumptions	Our case rests on 30 disclosed assumptions; PAT breaks even in FY2028 and look-through FCF in FY2034	Assumptions table; case-vs-assumption legend; breakeven table	§16
14	Appendix	Model detail behind every number in the deck	DCF table; EPS by year; funding detail; bibliography	Appendix B
15	Thank you	n.a.	Team names	n.a.

18. Anticipated judge questions

1. **"Your DCF gives Liminal ₹1,391 Cr. BitGo IPO'd at $2B and BVNK sold for $1.8B. Isn't that too conservative?"** BitGo now trades at a ~$0.94B market cap and a ~$1.23B enterprise value, about 6.5x its ~$188M fee revenue `S45, S46, S82`; Copper is drawing offers at 8% of its peak valuation `S47`. The football field gives precedents a 20% weight and still lands at 7.5x ARR. Even the top of the precedent range (15x on BVNK) is below 18.2x.

2. **"Why 24.9% and not 26% or 30%?"** Below 25% there is no power to block a special resolution, the stake stays under CCI's material-influence line for minority exemptions, and it signals non-control to clients and RBI. At 20% or more Paytm still gets significant influence and equity accounting S114.
3. **"Why would the founders accept a minority when a consortium wants control?"** Independence protects their ARR; they get ₹250 Cr of growth capital, ₹150 Cr of liquidity for early holders, and a route to a ₹4,016 Cr headline valuation for delivered ARR. Control by a consumer-wallet owner puts 30% to 45% of their ARR at risk C §3.1.
4. **"What if RBI applies the drag to your minority?"** Then the deal does not happen. RBI comfort is a condition precedent. Stress-tested, a proportional drag would take NPV to −₹996 Cr, which is exactly why we will not proceed without the letter.
5. **"Isn't the MDR a reason to do the deal?"** No. Paytm earns it in every path. It offsets 15% of the drag.
6. **"Why not just license?"** A licence dies on a change of control. Equity plus a ROFR is what makes the licence durable.
7. **"What does the option cost you?"** Nothing beyond the fair price of the stake. The strike is fair value at exercise, so the option's value is the right to decide later, not a bargain price.
8. **"Your churn assumptions for the minority are unvalidated."** Correct, and we say so. The Customer Validation Plan and client comfort letters are conditions precedent. The recommendation survives up to 57.6% churn.
9. **"What if the consortium also walks?"** Liminal stays independent with Paytm as its largest strategic shareholder, which is the base case.
10. **"Walk-away has an NPV of zero and no risk. Why not that?"** It forgoes ₹406 Cr of synergy and build value and leaves Liminal open to the consortium. The minority is NPV-positive and keeps both.
11. **"Why is the JV worse than the minority?"** Joint control attracts half the drag (₹375 Cr/yr) and offers no block on the consortium; even with zero drag it is slightly negative.
12. **"The case says AA-. Your research says there is no CRISIL rating."** The case governs. Either way, our structure leaves every credit metric unchanged.
13. **"How do you handle the WazirX history?"** An independent forensic review is a condition precedent. The Grant Thornton audit placed the breach outside Liminal S34, but the Delhi Police allegation on logs S36 needs closing.
14. **"Why invest in the Indian entity?"** Because One97 would likely fail the ODI three-year profit test for a foreign stake S97, and Liminal's case clients are Indian.
15. **"What is the single number that decides this?"** ₹750 Cr a year. It is larger than Liminal's ARR and Paytm's PAT. Only non-control removes it.
16. **"Why not an all-equity full deal? It halves the dilution."** Financing changes EPS, not value. Every mix has the same −₹7,638 Cr NPV.
17. **"What if Liminal's ARR is lower than ₹220 Cr?"** Quality of earnings is a CP; closing ARR below ₹200 Cr is a walk-away trigger.
18. **"Can the Board still get control if the market opens up?"** Yes, via the option in months 30 to 42, at fair value, once the five gates hold.
19. **"Is the ₹400 Cr stake itself value-destroying at bear case?"** Slightly: −₹113 Cr in bear against +₹211 Cr in base, probability-weighted +₹128 Cr. The downside is bounded at the stake price, protected by a liquidation preference.
20. **"How do you know the drag would not apply to the consortium?"** We do not claim to know. We infer from the case logic that an RBI-regulated PA and wallet issuer would face comparable scrutiny. That is why we treat it as a risk to the consortium, not a certainty.

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S98	AZB & Partners (2022) 'New overseas direct investment regime: key changes and the road ahead'	https://www.azbpartners.com/bank/new-overseas-direct-investment-regime-key-changes-and-the-road-ahead/	12.1
S99	SCC Online Blog (2026) 'FEMA overseas investment rules 2022: enforcement analysis'	https://www.scconline.com/blog/post/2026/07/18/fema-overseas-investment-rules-2022-enforcement-analysis/	12.1
S100	ThePrint (2025) 'Why ED sent ₹611 crore FEMA violation show-cause notice to Paytm parent company'	https://theprint.in/india/why-ed-sent-rs-611-cr-fema-violation-show-cause-notice-to-paytm-parent-company/2529149/	3.3, 12.1
S101	Business Standard (2026) 'Paytm receives RBI compounding order, company to pay ₹18.76 lakh'	https://www.business-standard.com/companies/news/paytm-receives-rbi-compounding-order-company-to-pay-rs-18-76-lakh-126020301518_1.html	3.3
S102	Shardul Amarchand Mangaldas (2022) 'Decoding the amended preferential allotment norms'	https://www.amsshardul.com/insight/decoding-the-amended-preferential-allotment-norms/	10.2, 12.5
S103	Vinod Kothari Consultants (2022) 'FAQs on preferential issue under SEBI ICDR'	https://vinodkothari.com/2022/10/faqs-on-preferential-issue-of-equity-shares-and-convertible-securities-under-sebi-icdr/	10.2, 12.5
S104	CAIRR (2023) SEBI LODR Schedule III Part A	https://ca2013.com/schedule/lodr-schedule-iii-part-2/	12.2
S105	National Law Review (2023) 'SEBI's amendments to LODR'	https://natlawreview.com/article/sebi-s-amendments-to-lodr-increasing-corporate-responsibility-and-governance-india	12.2
S106	ClearTax (2026) 'Section 186 of the Companies Act 2013'	https://cleartax.in/s/section-186-companies-act-2013	12.2
S107	Majmudar & Partners (2024) 'The impact of India's 18/25 cap on indemnities in cross-border M&A'	https://www.majmudarindia.com/the-impact-of-indias-18-25-cap-on-indemnities-in-cross-border-ma-transactions/	10.1
S108	TaxGuru (2020) 'Overview of FEMA (Non-Debt Instruments) Rules 2019'	https://taxguru.in/rbi/overview-foreign-exchange-management-non-debt-instruments-rules-2019.html	10.1
S109	Harchandani & Associates (2025) 'FEMA FDI pricing rules: Rule 21 compliance'	https://harchandani.in/articles/mastering-fema-fdi-pricing-rules-ultimate-guide-to-rule-21-compliance	10.1, 12.1, 12.2
S110	Reserve Bank of India (2025) Master Direction on Regulation of Payment Aggregators, RBI/DPSS/2025-26/141, 15 Sep	https://www.fidcindia.org.in/wp-content/uploads/2025/09/RBI-PAYMENT-AGGREGATORS-DIRECTIONS-15-09-25.pdf	12.1, 12.5

ID	Source	URL	Used in §
S111	IndiaCorpLaw (2025) 'Decoding RBI's overhaul of the payment aggregator directions'	https://indiacorplaw.in/2025/10/09/decoding-rbis-overhaul-of-the-payment-aggregator-directions/	12.1
S112	Retail Banker International (2026) 'Paytm Payments Bank set for winding up after RBI licence revocation'	https://www.retailbankerinternational.com/news/paytm-payments-bank-set-for-winding-up-after-rbi-licence-revocation/	3.3
S113	Ind AS 103 Business Combinations, text via CAIRR	https://ca2013.com/indian-accounting-standard-ind-103/	9.8, 12.5
S114	Ind AS 28 Investments in Associates and Joint Ventures, text via CAIRR	https://ca2013.com/indian-accounting-standard-ind-28/	10.4, 12.2, 18
S115	Ind AS 36 Impairment of Assets, text via CAIRR	https://ca2013.com/indian-accounting-standard-ind-36/	9.8, 12.5
S116	Crisil Ratings (2025) 'Crisil's approach to financial ratios'	https://www.crisilratings.com/mnt/winshare/Ratings/SectorMethodology/MethodologyDocs/criteria/CRISILs%20Approach%20to%20Financial%20Ratios_1	10.2, 12.5
S117	FIU-IND (2023) AML and CFT guidelines for VDA service providers, 10 Mar	https://fiuindia.gov.in/pdfs/AML_legislation/AMLCFTguidelines10032023.pdf	12.6
S118	AZB & Partners (2026) 'Client update: FIU guidelines 2026'	https://www.azbpartners.com/wp-content/uploads/2026/01/Client-Update-FIU-Guidelines-2026-AZB-January-14-2026.pdf	12.6
S119	CERT-In (2022) Directions under section 70B(6) of the IT Act, 28 Apr	https://www.cert-in.org.in/PDF/CERT-In_Directions_70B_28.04.2022.pdf	12.6
S120	Shardul Amarchand Mangaldas (2025) 'Enforcement of the DPDP Act and notification of the DPDP Rules'	https://www.amsshardul.com/insight/enforcement-of-the-dpdp-act-and-notification-of-the-dpdp-rules/	12.6
S121	Press Information Bureau (2025) DPDP Rules 2025 explainer	https://static.pib.gov.in/WriteReadData/specificdocs/documents/2025/nov/doc20251117695301.pdf	12.6
S122	Cyril Amarchand Mangaldas blog (2024) 'Share transfer restrictions under SHA: revisiting section 58(2)'	https://corporate.cyrilamarchandblogs.com/2024/10/share-transfer-restrictions-under-sha-the-need-to-revisit-section-582-of-ca-2013/	10.1, 12.2
S123	SEBI (2013) 'SEBI permits contracts for pre-emption and options in shareholders agreements'	https://www.sebi.gov.in/media/press-releases/oct-2013/sebi-permits-contracts-for-pre-emption-and-options-in-shareholders-agreements_25486.html	10.1
S124	International Bar Association (2024) 'Are liquidation preference arrangements legally enforceable in India?'	https://www.ibanet.org/Are-liquidation-preference-arrangements-legally-enforceable-in-India	10.1, 12.2
S125	Outlook Business (2025) 'CCI clears Coinbase's minority stake in CoinDCX parent'	https://www.outlookbusiness.com/news/cci-clears-coinbases-minority-stake-in-coindcx-parent-valuation-hits-245bn	6.4
S126	Elets BFSI (2025) 'PayU acquires 43.5% stake in Mindgate Solutions'	https://bfsi.eletsonline.com/payu-acquires-43-5-stakes-in-mindgate-solutions/	6.4
S127	Upstox News (2026) 'Paytm block deal: Resilient Asset Management proposes to sell up to 4.98% stake'	https://upstox.com/news/market-news/stocks/paytm-block-deal-resilient-asset-management-proposes-to-sell-up-to-4-98-stake/article-198782/	12.1

ID	Source	URL	Used in §
S128	Business Standard (2026) 'Paytm builds ₹13,529 crore cash pile, eyes organic growth and acquisitions'	https://www.business-standard.com/companies/news/paytm-builds-13-529-crore-cash-pile-eyes-organic-growth-and-acquisitions-126072101468_1.html	3.1
S129	Coinbase (2018) 'Coinbase Custody receives trust charter from the New York Department of Financial Services'	https://www.coinbase.com/blog/coinbase-custody-receives-trust-charter-from-the-new-york-department-of	13
S130	The Block (2023) 'Deutsche Bank and Taurus: digital asset custody and tokenization'	https://www.theblock.co/post/250963/deutsche-bank-taurus-digital-asset-custody-tokenization-services	5.4
S131	CRISIL (2011) 'One 97 Communications Limited IPO grading rationale' (the only CRISIL document found for One97)	https://www.crisilratings.com/content/dam/crisil/our-businesses/capital-markets/ipo-grading-list/view-rationale/CRISIL-Research_ipo-grading-rat_One97-communications.pdf	16.1
S132	Caplight (2026) 'Hex Trust company profile'	https://www.caplight.com/company/hex-trust	6.1
S133	MediaNama (2026) 'Why RBI wants cryptocurrencies out of India's banking system'	https://www.medianama.com/2026/07/223-why-rbi-want-cryptocurrencies-out-indias-banking-system/	12.4
S134	Liminal Custody (2026) Company website (EY Advisory internal audit appointment)	https://www.liminalcustody.com/	5.1

Appendix B: Model tables (generated by `model/satoshi_gate_model.py`)

All figures ₹ Cr unless stated. Generated 2026-09-24T00:06:44.

T1. Paytm baseline ratios (case facts)

Metric	Value
Share price (₹)	1855.47
Enterprise value	110200
P/E (x)	247.4
EV/Revenue (x)	13.04
EV/EBITDA (x)	172.2
EBITDA margin %	7.6
Deal / ARR (x)	18.18
Deal as % of market cap	3.37
MDR post-tax	86.05
MDR-adjusted standalone EPS (₹)	8.845

Metric	Value
MDR EPS uplift vs ₹7.50 %	17.9
MDR offset of drag, pre-tax %	15.3
MDR offset of drag, post-tax %	11.5
Drag / Liminal ARR (x)	3.41
Drag as % of Paytm PAT	156
Top-4 client ARR	132
Earnings yield %	0.4
Post-tax cash yield %	4.49
EPS with MDR at 50% of case value (₹)	8.172

T2. Implied multiple on surviving ARR

Churn	Surviving ARR	Deal / ARR (x)
0.0%	220	18.2
30.0%	154.0	26.0
37.5%	137.5	29.1
45.0%	121.0	33.1
60.0%	88.0	45.5

T3. Liminal standalone EV by scenario and churn (DCF, 16.5%, g 6%)

Scenario	0.0%	5.0%	15.0%	30.0%	37.5%	45.0%	60.0%
bear	428	398	337	243	196	149	55
base	1391	1313	1154	915	795	673	430
bull	2398	2269	2009	1615	1418	1221	822

T4-bear. Liminal P&L path, bear, no churn

FY	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Revenue	268.4	322.1	380.1	440.9	502.6	562.9	624.8	687.3	749.2	809.1
EBITDA	10.7	29.0	49.4	74.9	100.5	123.8	143.7	165.0	187.3	202.3
PAT	0.0	12.1	25.6	42.9	60.2	75.8	88.8	102.9	117.7	127.1
FCF	-3.7	7.8	20.6	37.3	53.9	69.0	81.3	94.7	109.0	117.9

T4-base. Liminal P&L path, base, no churn

FY	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Revenue	297.0	392.0	501.8	627.3	765.3	918.3	1083.6	1257.0	1433.0	1604.9
EBITDA	23.8	62.7	115.4	181.9	252.5	330.6	400.9	477.7	544.5	609.9
PAT	8.9	35.2	71.3	117.3	166.1	219.9	267.6	319.8	364.6	408.3
FCF	4.4	29.4	64.1	108.6	155.7	207.7	253.4	303.8	346.7	388.8

T4-bull. Liminal P&L path, bull, no churn

FY	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Revenue	330.0	478.5	660.3	871.6	1107.0	1361.6	1633.9	1911.7	2198.4	2484.2
EBITDA	33.0	95.7	184.9	296.4	420.7	544.6	669.9	802.9	923.3	1043.4
PAT	14.8	57.3	118.6	195.7	281.6	366.8	452.4	543.6	625.1	706.4
FCF	9.3	49.5	108.4	182.7	265.9	348.1	430.6	518.9	597.4	675.8

T5. DCF sensitivity, base, no churn (WACC rows x terminal growth columns)

WACC	5.0%	5.5%	6.0%	6.5%	7.0%
15.0%	1696	1754	1819	1891	1972
16.0%	1489	1533	1582	1636	1696
17.0%	1319	1353	1391	1432	1477
18.0%	1178	1205	1234	1266	1300
19.0%	1058	1080	1103	1128	1155

T6. Synergy PV (full ownership basis)

Scenario	Revenue synergy PV	Build avoided PV	Total
bear	76	193	269
base	213	193	406
bull	335	193	529

T7. NPV by path and scenario

Scenario	Full acquisition	24.9% minority	JV	Walk away
bear	-8374	-113	-2613	0
base	-7638	211	-2544	0

Scenario	Full acquisition	24.9% minority	JV	Walk away
bull	-6892	204	-2483	0
probability-weighted	-7636	128	-2546	0

T8-bear. EPS path (₹), bear

Path	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Full (M1)	4.687	5.91	6.425	6.551	6.677	6.787	6.849	6.921	7.0	7.027
Minority	8.752	8.816	8.91	9.007	9.104	9.194	9.259	9.327	9.398	9.449
JV	8.798	8.798	9.055	9.078	9.102	9.125	9.137	9.149	9.16	9.172
Walk away	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845

Full: PAT breakeven never (10 yrs), FCF breakeven never (10 yrs), cumulative operating FCF FY27 to FY36 -7294, Paytm cash FY27 to FY31 [6427, 6134, 5873, 5621, 5376].
Minority: PAT breakeven 2029, look-through FCF breakeven never (10 yrs), Tranche 2 paid 0 (FY29 revenue 361).

Line	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Full ΔPAT	-261.3	-181.8	-148.3	-140.1	-131.9	-124.7	-120.7	-116.1	-110.9	-109.1
Full operating FCF after drag	-844.5	-765.3	-732.2	-724.5	-716.7	-709.9	-706.3	-702.0	-697.2	-695.8
Minority ΔPAT	-5.9	-1.8	4.2	10.4	16.6	22.4	26.5	30.9	35.4	38.7
Minority look-through FCF	8.4	12.3	18.2	24.2	30.3	35.9	39.9	44.1	48.5	51.7

T8-base. EPS path (₹), base

Path	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Full (M1)	4.702	6.204	6.957	7.428	7.948	8.494	8.958	9.443	9.833	10.213
Minority	8.79	8.933	9.145	9.397	9.675	9.956	10.198	10.44	10.638	10.832
JV	8.798	8.821	9.102	9.16	9.23	9.289	9.336	9.371	9.394	9.418
Walk away	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845

Full: PAT breakeven 2033, FCF breakeven never (10 yrs), cumulative operating FCF FY27 to FY36 -6328, Paytm cash FY27 to FY31 [6428, 6152, 5925, 5727, 5563].
Minority: PAT breakeven 2028, look-through FCF breakeven 2034, Tranche 2 paid 0 (FY29 revenue 477).

Line	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Full ΔPAT	-260.3	-162.6	-113.7	-83.1	-49.2	-13.7	16.5	48.0	73.3	98.1
Full operating FCF after drag	-844.0	-747.2	-699.1	-669.4	-636.6	-602.3	-573.3	-542.9	-518.7	-495.0
Minority ΔPAT	-3.5	5.7	19.2	35.3	53.2	71.1	86.6	102.1	114.8	127.2
Minority look-through FCF	10.6	19.4	32.7	48.4	65.9	83.4	98.4	113.5	125.7	137.8

T8-bull. EPS path (₹), bull

Path	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Full (M1)	4.664	6.435	7.503	8.342	9.266	10.182	11.057	11.962	12.752	13.516
Minority	8.809	9.046	9.385	9.444	9.892	10.338	10.753	11.172	11.538	11.888
JV	8.798	8.845	9.149	9.242	9.336	9.429	9.499	9.558	9.605	9.64
Walk away	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845	8.845

Full: PAT breakeven 2031, FCF breakeven never (10 yrs), cumulative operating FCF FY27 to FY36 -5358, Paytm cash FY27 to FY31 [6425, 6163, 5969, 5829, 5746].
Minority: PAT breakeven 2028, look-through FCF breakeven 2035, Tranche 2 paid 509 (FY29 revenue 627).

Line	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Full ΔPAT	-262.8	-147.6	-78.2	-23.6	36.5	96.0	152.9	211.8	263.1	312.8
Full operating FCF after drag	-847.1	-733.4	-665.4	-612.6	-554.3	-496.5	-441.6	-384.5	-335.1	-287.2
Minority ΔPAT	-2.3	12.9	34.6	38.3	67.1	95.6	122.1	148.9	172.4	194.8
Minority look-through FCF	11.6	26.2	47.3	73.3	101.4	129.2	155.0	181.1	203.9	225.6

T9. Full acquisition NPV grid, base (rows: annual drag; columns: churn)

Drag	0.0%	15.0%	30.0%	37.5%	45.0%	60.0%
0	-2203	-2440	-2679	-2799	-2921	-3164
250	-3816	-4053	-4292	-4412	-4534	-4777
500	-5429	-5666	-5905	-6025	-6147	-6390
750	-7042	-7279	-7518	-7638	-7760	-8002

T10. Maximum justified control price

| Scenario | 0\|0 | 0\|750 | 0.3\|0 | 0.3\|750 | 0.375\|0 | 0.375\|750 | 0.45\|0 | 0.45\|750 | |---|---|---|---|---|---|---|---|---|---|---| | bear | 697 | -4142 | 512 | -4327 | 465 | -4374 | 417 | -4421 | | base | 1797 | -3042 | 1321 | -3518 | 1201 | -3638 | 1079 | -3760 | | bull | 2927 | -1912 | 2143 | -2695 | 1946 | -2892 | 1749 | -3090 |

Key format: churn|annual drag.

T11. Breakeven churn (NPV = 0)

Case	Breakeven churn
base	4000
base	3000
base	2000
base	1500
bull	4000
bull	3000
bull	2000
bull	1500
minority bear	0.0
minority base	0.5758
minority bull	0.8623

T12. Minority stress tests (base)

Test	NPV
drag187	-996
churn15	171
churn0	225
drag187_pw	-1078

T13. Funding mixes for the full acquisition (base churn 37.5%, drag 750)

Mix	FY27 EPS	FY29 EPS	vs ₹7.50 %	vs MDR-adj %	New shares (Cr)	Dilution %	Gross debt/EBITDA	ICR	Cash post	Cash FY31	NPV
M1 cash 2100 + equity 1900 (case)	4.702	6.957	-37.3	-46.8	1.024	1.6	0.55	20.9	6800	5563	-7638

Mix	FY27 EPS	FY29 EPS	vs ₹7.50 %	vs MDR-adj %	New shares (Cr)	Dilution %	Gross debt/EBITDA	ICR	Cash post	Cash FY31	NPV
M2 debt 2100 + equity 1900	4.037	6.293	-46.2	-54.4	1.024	1.6	3.83	3.0	8900	7446	-7638
M3 cash 1050 + debt 1050 + equity 1900	4.37	6.625	-41.7	-50.6	1.024	1.6	2.19	5.2	7850	6504	-7638
M4 all equity 4000	6.047	8.263	-19.4	-31.6	2.156	3.37	0.55	20.9	8900	8134	-7638
M5 all cash 4000	3.444	5.736	-54.1	-61.1	0.0	0.0	0.55	20.9	4900	3236	-7638

T14. Drag PV treatments

Treatment	Value
perpetual	4839
ten_yr_trapped	3693
ten_yr_released	1918
full_npv_mildest	-4717

T15. Buyback and multiple compression

Item	Value
shares	1.132
eps	6.135
chg	-18.2

Share price move	Price	Shares for ₹1,900 Cr	Dilution %	Full-deal loss as % of mcap
0	1855	1.024	1.6	6.4
-0.2	1484	1.28	2.0	8.0
-0.3	1299	1.463	2.29	9.2
-0.4	1113	1.707	2.67	10.7

T16. Decision matrix

Criterion	Weight	Full	Minority	JV	Walk
Shareholder value (NPV)	0.25	1	4	2	4
EPS and FCF impact	0.15	1	4	3	5
Balance sheet and rating	0.1	2	5	4	5
Client churn risk	0.15	1	4	4	5
Regulatory and capital drag exposure	0.1	1	4	2	5
Strategic access to custody and tokenization	0.15	5	4	3	1
Block on the consortium	0.1	5	4	1	1
Weighted score	1.0	2.1	4.1	2.7	3.75

T17. EPS bridge FY27, recommended minority (₹ per share)

Step	₹
start	7.5
mdr	1.345
forgone	-0.281
licence	-0.292
build	0.468
synergy	0.0
equity_income	0.051
end	8.79

T18. PAT bridge FY27, full acquisition M1 (₹ Cr)

Step	Value
start_pat	480
mdr	86.1
forgone	-94.3
carry	-5.6
gov	-11.2
ppa	-74.8
txn	-44.9
liminal	-59.4

Step	Value
build	29.9
synergy	0.0
end_pat	305.7
shares	65.024
eps	4.702

T19. Football field (Liminal, 100% equity)

Item	Value
dcf	[1103, 1819]
dcf_point	1391
trading	[1311, 1837]
precedent	[1716, 2816]
weights	[0.5, 0.3, 0.2]
weighted_fv	1656
weighted_fv_x	7.5
stake_price_rule	400
stake_price_used	400
post_money	1606
post_money_x	7.3
headline_max	4016
deal_price	4000
notes	['25th to 75th pct EV/LTM revenue, custody and high-growth fintech subset (Pine Labs, BitGo on gross profit, Adyen, Coinbase, PB Fintech), 23 Sep 2026', 'IQR of precedent EV/revenue with revenue basis (Bitstamp 2.1x, Deribit 9.7x, Hidden Road 12.5x, BVNK 12.5 to 15x)']

T20. Moneyshot and impairment

Item	Value
npv	-7638
per_share	117.5

Item	Value
pct_mcap	6.4
impairment carrying	4000
impairment recoverable	1201
impairment gap	2799

T21. Breakeven summary


```
{
 "full_M1": {
  "pat": {
   "bear": null,
   "base": 2033,
   "bull": 2031
  },
  "fcf": {
   "bear": null,
   "base": null,
   "bull": null
  }
 },
 "minority": {
  "pat": {
   "bear": 2029,
   "base": 2028,
   "bull": 2028
  },
  "fcf": {
   "bear": null,
   "base": 2034,
   "bull": 2035
  }
 },
 "jv": {
  "pat": {
   "bear": 2029,
   "base": 2029,
   "bull": 2028
  },
  "fcf": "n/a (drag exceeds JV cash flow)"
 },
 "full_nodrag": {
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Appendix C: Glossary

Term	Meaning
AA-	Credit rating grade (case: CRISIL AA- Stable)
ARR	Annual recurring revenue
CCI	Competition Commission of India
CCPS	Compulsorily convertible preference shares
CERT-In	Indian Computer Emergency Response Team
CP	Condition precedent to closing
CVR	Contingent value right
DPDP	Digital Personal Data Protection Act 2023
DVT	CCI deal value threshold (₹2,000 Cr)
e₹	RBI's central bank digital currency (Digital Rupee)
FEMA	Foreign Exchange Management Act
FIU-IND	Financial Intelligence Unit, India
FMV	Fair market value
GRR	Gross revenue retention
ICR	Interest cover ratio (EBITDA / interest)
IOCC	Indian-owned and controlled company
LODR	SEBI Listing Obligations and Disclosure Requirements
MDR	Merchant discount rate
MPC	Multi-party computation (key management without a single private key)
NDI	FEMA Non-Debt Instruments Rules 2019
ODI	Overseas direct investment
PA / PA-CB	Payment aggregator / cross-border payment aggregator
PMLA	Prevention of Money Laundering Act
PPA	Purchase price allocation
PPI	Prepaid payment instrument (wallet)
PPSL	Paytm Payment Services Ltd, Paytm's PA entity
ROFR	Right of first refusal
RWA	Real-world assets (tokenized)
VDA	Virtual digital asset
WACC	Weighted average cost of capital